

Samsung Biologics Co., Ltd. and Subsidiary

Consolidated Financial Statements

December 31, 2020 and 2019

Samsung Biologics Co., Ltd. and Subsidiary
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December 31, 2020 and 2019

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Independent Auditor's Report



(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Samsung Biologics Co., Ltd. (the "Company") and its subsidiary (collectively referred to as the "Group"), which comprise the consolidated statements of financial position as at December 31, 2020 and 2019, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2020 and 2019, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS).

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to the following matter.

Administrative lawsuit against a ruling of the Securities and Futures Commissions to suspend sanctions, and the related indictment.

As described in Note 35 to the consolidated financial statements, the Securities and Futures Commission (the "SFC") made a decision to impose measures on the Company in relation to alleged errors in accounting for the Company's investment in Samsung Bioepis from 2012 to the first half of 2018.

The Company submitted requests to the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and the Court accepted the Company's requests. In relation to this, the appeal and re-appeal made by SFC were rejected by the Seoul High Court and the Supreme Court, respectively.

An administrative lawsuit and prosecution investigation against the Company's CEO and CFO are in

progress, and it is not possible to predict the outcome of the administrative lawsuit and the investigation. However, if the Company loses the administrative lawsuit, then the Company's consolidated financial statements for 2012 and the subsequent reporting periods could potentially be restated.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(1) Impairment test of investments in associates and joint ventures

Why it is determined to be a Key Audit Matter

The Group accounts for investments in associates which the Group has significant influence and joint ventures which the Group holds joint control using the equity method of accounting. The Group reviews whether there are any impairment indicators of investments in associates and joint ventures at the end of each reporting period, and if there is an indication of impairment, the Group calculates the amount of impairment as the difference between the recoverable amount of investments in associates and joint ventures and their carrying value (Note 2).

Investments in associates and joint ventures consist mostly of the Group's investment in Samsung Bioepis Co, Ltd. of ₩ 2,634 billion as of December 31, 2020.

We determined that the impairment assessment of investments in associates and joint ventures to be a key audit matter as the investment in Samsung Bioepis Co., Ltd. comprise a material portion of the Group's consolidated financial statements and the determination of the recoverable amount involves significant judgement and estimates of the Group management including the determination of discount rates, revenue growth rates and cash flow forecast.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the impairment assessment of the investment in Samsung Bioepis Co., Ltd. are as follows.

- Assessed the independence and competence of the external valuation specialists engaged by the Group.
- Engaged our internal specialists, to assist in assessing the appropriateness of valuation method and key assumptions.
- Assessed the reasonableness of the key assumptions and variables used in the assessment by comparing the latest business plans adopted by management with historical performance and available external data.
- Compared the actual results for the current year with management's estimates in their cash flows calculations from the previous year in order to assess the historical accuracy of the management's forecasting process.
- Tested mathematical accuracy of calculations and sensitivity analysis.
- Assessed the effectiveness of design and operation of management's internal controls.

(2) Revenue recognition of CMO

Why it is determined to be a Key Audit Matter

The Group operates a CMO(Contract Manufacturing Organization) business which is responsible for the production of bio-medicine. The Group's revenue recognition process primarily includes technology transfer procedures, regulatory approval procedures, and commercial production procedures. The Group recognizes revenue over the period of time as the control over produced bio-medicine transfers to the customers (Note 2).

We determined that revenue recognition of the CMO to be a key audit matter as the revenue of the CMO business comprises a material portion of the Group's consolidated financial statements and the determination of the amount and timing of revenue recognition involves judgement and estimates of management.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the CMO revenue recognition are as follows.

- Evaluated internal controls over the determination of the amount and timing of revenue recognition.
- Inspected contracts for a sample of projects to assess the appropriateness of revenue recognition accounting.
- Assessed the appropriateness of the determination of the amount and revenue recognition point through audit sampling.
- Performed independent recalculation of progress by project and contract assets and contract liabilities through audit sampling.

Other Matters

Auditing standards and their application in practice vary among countries. The procedures and practices used in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Korean IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's

report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Korean Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Korean Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that

were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Joonki Hong, Certified Public Accountant.

Samil PricewaterhouseCoopers

Seoul, Korea
March 2, 2021

This report is effective as of March 2, 2021, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying consolidated financial statements and notes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd.
Consolidated Statements of Financial Position
December 31, 2020 and 2019

<i>(in Korean won)</i>	Notes	2020	2019
Assets			
Current assets			
Cash and cash equivalents	5,6,34	₩ 28,850,120,614	₩ 125,100,653,179
Short-term financial instruments	5,34	300,000,000,000	320,000,000,000
Financial assets at fair value through profit or loss	5,34	500,046,402,614	210,040,293,295
Trade and other receivables	5,8,32,34	217,932,307,826	187,118,115,434
Inventories	10,26	645,960,096,442	452,469,927,424
Other current financial assets	5,11,34	23,555,628,697	34,782,011,074
Other current assets	12	7,137,823,863	5,938,312,588
Contract assets	9,34	27,864,867,897	20,812,351,177
		<u>1,751,347,247,953</u>	<u>1,356,261,664,171</u>
Non-current assets			
Long-term financial instruments	5,7,34	174,482,520	7,000,000
Investments in associates and joint ventures	13	2,634,428,493,852	2,652,731,622,024
Investment properties	14	20,247,960,657	20,761,092,845
Property, plant and equipment	15	1,736,567,289,165	1,702,792,524,097
Intangible assets	16	23,344,605,855	21,827,515,338
Right-of-use asset	20	24,160,224,188	16,118,883,277
Trade and other receivables	5,8,32,34	28,671,558,645	-
Net defined benefit assets	22	11,900,143,741	-
Other non-current financial assets	5,11,34	23,184,192,134	9,498,952,389
Other non-current assets	12	1,283,411,951	956,721,462
Contract assets	9,34	168,891,554,301	130,670,536,317
		<u>4,672,853,917,009</u>	<u>4,555,364,847,749</u>
Total assets		<u>₩ 6,424,201,164,962</u>	<u>₩ 5,911,626,511,920</u>
Liabilities			
Current liabilities			
Trade and other payables	5,18,22,32,34	₩ 185,176,705,934	₩ 101,128,061,254
Emission liability	19	427,059,724	553,852,695
Debentures and borrowings	5,17,31,33,34	190,907,459,006	401,650,000,000
Other current liabilities	9,21,32	159,567,115,745	144,706,770,419
Contract liabilities	9,32	23,430,303,328	26,360,570,132
Lease liabilities	5,20,33,34	6,532,620,565	3,248,590,174

Samsung Biologics Co., Ltd.
Consolidated Statements of Financial Position
December 31, 2020 and 2019

Current tax liabilities		<u>23,259,655,164</u>	<u>12,857,398,029</u>
		<u>589,300,919,466</u>	<u>690,505,242,703</u>
Non-current liabilities			
Trade and other payables	5,18,22,32,34	9,443,625,231	8,105,040,694
Debentures and borrowings	5,17,31,33,34	571,450,898,845	236,167,124,961
Other non-current liabilities	9,21,32	14,409,243,554	6,011,768,076
Derivative liabilities	5	1,265,011,918	-
Defined benefit liabilities, net	22	-	14,429,295,289
Contract liabilities	9,32	173,686,568,977	118,768,686,348
Lease liabilities	5,20,33,34	16,014,284,199	12,640,693,837
Deferred tax liabilities, net	29	<u>449,847,440,408</u>	<u>470,544,914,646</u>
		<u>1,236,117,073,132</u>	<u>866,667,523,851</u>
Total liabilities		<u>1,825,417,992,598</u>	<u>1,557,172,766,554</u>
Equity			
Share capital	1,23	165,412,500,000	165,412,500,000
Share premium	23	2,487,313,082,024	2,487,313,082,024
Accumulated other comprehensive loss	13,22,23	(7,540,138,921)	(10,894,765,956)
Retained earnings		<u>1,953,597,729,261</u>	<u>1,712,622,929,298</u>
Total equity		<u>4,598,783,172,364</u>	<u>4,354,453,745,366</u>
Total liabilities and equity		<u>₩ 6,424,201,164,962</u>	<u>₩ 5,911,626,511,920</u>

The above consolidated statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Consolidated Statements of Comprehensive Income
Years Ended December 31, 2020 and 2019

<i>(in Korean won)</i>	Note	2020	2019
Revenue	4,24,32	₩ 1,164,776,873,641	₩ 701,591,859,755
Cost of revenue	9,10,24,26,32	<u>(748,700,763,470)</u>	<u>(509,584,425,113)</u>
Gross profit		<u>416,076,110,171</u>	<u>192,007,434,642</u>
Selling, general and administrative expenses	25,26,32	<u>(123,289,556,089)</u>	<u>(100,265,047,444)</u>
Operating profit		<u>292,786,554,082</u>	<u>91,742,387,198</u>
Other income	27,32	2,568,786,561	4,003,486,749
Other expenses	27	(3,490,386,092)	(2,108,781,313)
Finance income	5,28	32,774,534,985	27,540,743,550
Finance costs	5,28	(40,879,632,723)	(38,682,642,614)
Share of profit (loss) of associates and joint ventures	13	<u>(17,767,693,975)</u>	<u>72,940,115,693</u>
Profit before income tax		<u>265,992,162,838</u>	<u>155,435,309,263</u>
Income tax benefit (expense)	29	<u>(25,017,362,875)</u>	<u>47,468,789,825</u>
Profit for the year		<u>₩ 240,974,799,963</u>	<u>₩ 202,904,099,088</u>
Profit (loss) attributable to:			
Owners of the Parent Company		₩ 240,974,799,963	₩ 202,904,099,088
Non-controlling interests		-	-
Other comprehensive Income (loss)			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities	22,29	₩ 6,130,541,689	₩ (3,787,818,691)
Share of other comprehensive income (loss) of associates and joint ventures	13,29	(440,431,300)	37,307,714
<i>Items that may be subsequently reclassified to profit or loss</i>			
Exchange income associated with a foreign operation		(1,037,503,195)	-
Share of other comprehensive income (loss) of associates and joint ventures	13,29	<u>(1,297,980,159)</u>	<u>(168,293,893)</u>
Other comprehensive income (loss) for the year, net of tax		<u>3,354,627,035</u>	<u>(3,918,804,870)</u>
Total comprehensive income for the year		<u>₩ 244,329,426,998</u>	<u>₩ 198,985,294,218</u>
Total comprehensive income for the year is attributed to:			
Owners of the Parent Company		₩ 244,329,426,998	₩ 198,985,294,218
Non-controlling interests		-	-
Earnings per share			
Basic and diluted earnings per share	30	₩ 3,642	₩ 3,067

The above consolidated statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Consolidated Statements of Changes in Equity
Years Ended December 31, 2020 and 2019

(in Korean won)

	Notes	Share capital	Share premium	Accumulated other comprehensive Income(loss)	Retained earnings	Non-controlling interests	Total
Balance at January 1, 2019		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (6,975,961,086)	₩ 1,509,718,830,210	₩ -	₩ 4,155,468,451,148
Total comprehensive income							
Profit for the year		-	-	-	202,904,099,088	-	202,904,099,088
Other comprehensive income(loss)							
Remeasurements of net defined benefit liabilities	22,23, 29	-	-	(3,787,818,691)	-	-	(3,787,818,691)
Share of other comprehensive income(loss) of associate and joint venture	13	-	-	(130,986,179)	-	-	(130,986,179)
Total comprehensive income(loss) for the period		-	-	(3,918,804,870)	202,904,099,088	-	198,985,294,218
Balance at December 31, 2019		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (10,894,765,956)	₩ 1,712,622,929,298	₩ -	₩ 4,354,453,745,366
Balance at January 1, 2020		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (10,894,765,956)	₩ 1,712,622,929,298	-	₩ 4,354,453,745,366
Total comprehensive income(loss)							
Profit for the year		-	-	-	240,974,799,963	-	240,974,799,963
Other comprehensive income(loss)							
Remeasurements of net defined benefit liabilities	22,23, 29	-	-	6,130,541,689	-	-	6,130,541,689
Foreign currency translation		-	-	(1,037,503,195)	-	-	(1,037,503,195)
Share of other comprehensive income of associate and joint venture	13	-	-	(1,738,411,459)	-	-	(1,738,411,459)
Total comprehensive income for the period		-	-	3,354,627,035	240,974,799,963	-	244,329,426,998
Balance at December 31, 2020		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (7,540,138,921)	₩ 1,953,597,729,261	₩ -	₩ 4,598,783,172,364

The above consolidated statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Consolidated Statements of Cash Flows
Years Ended December 31, 2020 and 2019

<i>(in Korean won)</i>	Notes	2020	2019
Cash flows from operating activities			
Profit for the year	₩	240,974,799,963	₩ 202,904,099,088
Adjustments for:			
Retirement benefits	22	20,626,017,916	14,710,433,760
Depreciation of investment properties	14	513,132,188	342,088,125
Depreciation	15,25,26	131,414,806,510	121,892,350,206
Amortization of intangible assets	16,25,26	6,107,637,985	6,292,084,706
Depreciation of right-of-use asset	20	5,652,428,296	4,358,579,512
(Reversal of) Loss on valuation of inventories	10	(9,118,583,582)	6,215,382,569
(Reversal of) Impairment loss on contract assets	9	-	(2,263,140,740)
Loss on retirement of property, plant and equipment	27	1,391,318,947	296,624,745
Gain on disposal of property, plant and equipment	27	(30,985,605)	(520,162)
Loss on disposal of property, plant and equipment	27	4,117,834	312,536,821
Loss on retirement of intangible assets	27	476,756,683	-
Loss on disposal of intangible assets	27	-	197,566,643
Impairment loss on intangible assets	27	1,352,349,797	359,600,000
Gain on foreign currency translations	28	(4,344,394,055)	(143,426,108)
Loss on foreign currency translations	28	7,367,178,048	7,436,126,539
Gain on valuation of derivatives	5,28	-	(1,193,320,503)
Loss on valuation of derivatives	5,28	2,268,002,350	-
Cost of emissions	19	427,059,724	553,852,695
Interest income	5,28	(13,140,465,252)	(17,246,463,926)
Interest expenses	5,28	16,085,622,354	25,614,721,779
Gain on valuation of financial assets at fair value through profit or loss	5,28	(185,480,425)	(45,759,047)
Gain on disposal of financial assets at fair value through profit or loss	5,28	(118,474,724)	(361,458,825)
Share of loss (profit) of associates and joint ventures	13,35	17,767,693,975	(72,940,115,693)
Income tax expense (benefit)	29	25,017,362,875	(47,468,789,825)
Others		(199,889,774)	41,349,843
		<u>209,333,212,065</u>	<u>46,960,303,114</u>
Change in operating assets and liabilities:			
Trade and other receivables		(61,480,420,529)	(69,000,556,074)
Inventories		(184,885,325,809)	(156,324,594,652)
Deposits provided		(2,404,924,051)	2,471,171,102
Contract assets		(46,046,832,123)	(52,659,037,559)
Other assets		(2,812,230,698)	(849,426,161)
Trade and other payables		58,252,592,899	1,461,167,211
Contract liabilities		51,987,615,825	44,024,466,934
Emission liability		(553,852,695)	(1,493,981,621)
Other liabilities		23,276,220,804	63,029,175,650
Retirement benefits paid	22	(1,628,397,002)	(1,358,362,970)

Samsung Biologics Co., Ltd.
Consolidated Statements of Cash Flows
Years Ended December 31, 2020 and 2019

Transfer from affiliates of defined benefit liabilities	22	437,475,000	-
Contributions to plan assets	22	(37,676,749,074)	(17,186,202,871)
		<u>(203,534,827,453)</u>	<u>(187,886,181,011)</u>
Interest received		9,375,846,718	16,625,472,877
Interest paid		(15,629,886,952)	(26,345,466,077)
Income tax paid		<u>(38,429,117,800)</u>	<u>(42,104,613,015)</u>
Net cash inflow from operating activities		<u>202,090,026,541</u>	<u>10,153,614,976</u>
Cash flows from investing activities			
Decrease in short-term financial instruments		2,570,000,000,000	3,280,000,000,000
Decrease in financial assets at fair value through profit or loss		1,540,000,000,000	1,600,000,000,000
Disposal of property, plant and equipment		47,687,855	42,326,492
Increase in short-term financial instruments		(2,550,000,000,000)	(3,050,000,000,000)
Increase in long-term financial instruments		(167,482,520)	-
Increase in financial assets at fair value through profit or loss		(1,830,000,000,000)	(1,270,000,000,000)
Acquisition of investment properties		-	21,103,180,970
Acquisition of property, plant and equipment		(139,664,805,056)	(171,734,357,701)
Acquisition of intangible assets		(8,901,227,656)	(9,461,855,113)
Acquisition of investments in associates and joint ventures		-	(18,101,000,000)
Net cash inflow (outflow) from investing activities		<u>(418,685,827,377)</u>	<u>339,641,932,708</u>
Cash flows from financing activities			
Proceeds from short-term borrowings	17,33	30,000,000,000	150,000,000,000
Proceeds from long-term borrowings	17,33	499,952,000,000	-
Repayment of debentures	17,33	-	(50,000,000,000)
Repayment of short-term borrowings	17,33	(150,000,000,000)	(90,000,000,000)
Repayment of lease liabilities	20,33	(5,741,881,665)	(3,222,219,801)
Repayment of current portion of long-term borrowings	17,33	<u>(251,650,000,000)</u>	<u>(246,583,354,646)</u>
Net cash inflow (outflow) from financing activities		<u>122,560,118,335</u>	<u>(239,805,574,447)</u>
Net increase (decrease) in cash and cash equivalents		(94,035,682,501)	109,989,973,237
Cash and cash equivalents at the beginning of the year		125,100,653,179	17,621,904,942
Effects of exchange rate changes on cash and cash equivalents		<u>(2,214,850,064)</u>	<u>(2,511,225,000)</u>
Cash and cash equivalents at the end of the year	₩	<u>28,850,120,614</u>	₩ <u>125,100,653,179</u>

The above consolidated statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiary

Notes to the Consolidated Financial Statements

December 31, 2020 and 2019

1. General Information

Samsung Biologics Co., Ltd. (the "Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in Biosimilar manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, The Republic of Korea. The Company was listed on securities market on November 10, 2016. As at December 31, 2020, the Company's share capital is ₩ 165,413 million.

The shareholders of the Company as at December 31, 2020, are as follows:

Shareholder	Number of shares	Percentage of ownership (%)
Samsung C&T Corporation	28,742,466	43.44
Samsung Electronics Co., Ltd.	20,836,832	31.49
Others	16,585,702	25.07
	<u>66,165,000</u>	<u>100.00</u>

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with International Financial Reporting Standards as adopted by the Republic of Korea ("Korean IFRS") 1110 *Consolidated Financial Statements*) and a subsidiary (collectively referred to as the "Group") prepared the consolidated financial statements accounting for the investments in associates and joint ventures using the equity method.

1.1 Consolidated Subsidiary

Details of the consolidated subsidiary as at December 31, 2020, are as follows:

	Location	Percentage ownership (%)	Main business	Closing month
Samsung Biologics America, Inc.	USA	100.00	Bio-medicine development	December

Summarized financial information for consolidated subsidiary as at and for the year ended December 30, 2020, is as follows:

(in thousands of Korean won)	2020				
	Assets	Liabilities	Sales	Profit for the period	Total comprehensive income ¹
Samsung Biologics America, Inc.	₩ 15,398,012	₩ 4,476,787	₩ 1,129,723	₩ 44,727	₩ (992,776)

¹ It includes foreign currency translation.

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1.2 Changes in Scope for Consolidation

Subsidiary newly included in the consolidation during the year ended December 31, 2020:

Name of Subsidiary	Reason
Samsung Biologics America, Inc.	Newly established

2. Significant Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Due to establishment of a subsidiary for the year ended December 31, 2020, the Group has prepared consolidated financial statements from the reporting period commencing January 1, 2020 in accordance with Korean IFRS 1110 *Consolidated Financial Statements*.

2.1 Basis of Preparation

The Group maintains its accounting records in Korean won and prepares statutory consolidated financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying consolidated financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Company's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The financial statements of the Company have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value.

The preparation of financial statements requires the use of critical accounting estimates. Management also needs to exercise judgement in applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

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2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2020.

(a) Amendments to Korean IFRS 1001 Presentation of Financial Statements and Korean IFRS 1008 Accounting policies, changes in accounting estimates and errors – Definition of Material

The amendments clarify the definition of material. Information is material if omitting, misstating or obscuring it could reasonably be expected to influence the decisions that the primary users of general-purpose financial statements make on the basis of those financial statements. The amendments do not have a significant impact on the consolidated financial statements.

(b) Amendments to Korean IFRS 1103 Business Combination – Definition of a Business

The amended definition of a business requires an acquisition to include an input and a substantive process that together significantly contribute to the ability to create outputs and the definition of output excludes the returns in the form of lower costs and other economic benefits. If substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets, an entity may elect to apply an optional concentration test that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The amendments do not have a significant impact on the consolidated financial statements.

(c) Amendments to Korean IFRS 1109 Financial Instruments, Korean IFRS 1039 Financial Instruments: Recognition and Measurement and Korean IFRS 1107 Financial Instruments: Disclosure – Interest Rate Benchmark Reform

The amendments allow to apply the exceptions in relation the application of hedge accounting while uncertainties arising from interest rate benchmark reform exist. The exceptions require the Group assumes that the interest rate benchmark on which the hedged items and the hedging instruments are based on is not altered as a result of interest rate benchmark reform, when determining whether the expected cash flows are highly probable, whether an economic relationship between the hedged item and the hedging instrument exists, and when assessing the hedging relationship is highly effective. The amendments do not have a significant impact on the consolidated financial statements.

2.2.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2020 reporting periods and have not been early adopted by the Group.

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(a) Amendments to Korean IFRS 1116 Lease – Practical expedient for COVID-19 - Related Rent Exemption, Concessions, Suspension

As a practical expedient, a lessee may elect not to assess whether a rent concession occurring as a direct consequence of the COVID-19 pandemic is a lease modification, and the amounts recognized in profit or loss as a result of applying this exemption should be disclosed. The amendments should be applied for annual periods beginning on or after June 1, 2020, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the consolidated financial statements.

(b) Amendments to Korean IFRS 1109 Financial Instruments, Korean IFRS 1039 Financial Instruments: Recognition and Measurement, Korean IFRS 1107 Financial Instruments: Disclosure, Korean IFRS 1104 Insurance Contracts and Korean IFRS 1116 Lease – Interest Rate Benchmark Reform

In relation to interest rate benchmark reform, the amendments provide exceptions including adjust effective interest rate instead of book amounts when interest rate benchmark of financial instruments at amortized costs is replaced, and apply hedge accounting without discontinuance although the interest rate benchmark is replaced in hedging relationship. The amendments should be applied for annual periods beginning on or after January 1, 2021, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the consolidated financial statements.

(c) Amendments to Korean IFRS 1103 Business Combination – Reference to the Conceptual Framework

The amendments update a reference of definition of assets and liabilities qualify for recognition in revised Conceptual Framework for Financial Reporting. However, the amendments add an exception for the recognition of liabilities and contingent liabilities within the scope of Korea IFRS 1037 *Provisions, Contingent Liabilities and Contingent Assets*, and Korean IFRS 2121 *Levies*. The amendments also confirm that contingent assets should not be recognized at the acquisition date. The amendments should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the consolidated financial statements.

(d) Amendments to Korean IFRS 1016 Property, Plant and Equipment - Proceeds before intended use

The amendments prohibit an entity from deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced while the entity is preparing the asset for its intended use. Instead, the entity will recognize the proceeds from selling such items, and the costs of producing those items, in profit or loss. The amendments should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group is in review for the impact of these amendments on the consolidated financial statements.

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(e) Amendments to Korean IFRS 1037 Provisions, Contingent Liabilities and Contingent Assets - Onerous Contracts : Cost of Fulfilling a Contract

The amendments clarify that the direct costs of fulfilling a contract include both the incremental costs of fulfilling the contract and an allocation of other costs directly related to fulfilling contracts when assessing whether the contract is onerous. The amendments should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the consolidated financial statements.

(f) Annual improvements to Korean IFRS 2018-2020

Annual improvements of Korean IFRS 2018-2020 Cycle should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the consolidated financial statements.

- Korean IFRS 1101 *First time Adoption of Korean International Financial Reporting Standards* – Subsidiaries that are first-time adopters
- Korean IFRS 1109 *Financial Instruments* – Fees related to the 10% test for derecognition of financial liabilities
- Korean IFRS 1116 *Leases* – Lease incentives
- Korean IFRS 1041 *Agriculture* – Measuring fair value

(g) Amendments to Korean IFRS 1001 Presentation of Financial Statements - Classification of Liabilities as Current or Non-current

The amendments clarify that liabilities are classified as either current or non-current, depending on the substantive rights that exist at the end of the reporting period. Classification is unaffected by the likelihood that an entity will exercise right to defer settlement of the liability or the expectations of management. Also, the settlement of liability include the transfer of the entity's own equity instruments, however, it would be excluded if an option to settle them by the entity's own equity instruments if compound financial instruments is met the definition of equity instruments and recognized separately from the liability. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the financial statements.

2.3 Consolidation

The Group has prepared the consolidated financial statements in accordance with Korean IFRS 1110 *Consolidated Financial Statements*.

(a) Subsidiaries

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Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The consideration transferred is measured at the fair values of the assets transferred, and identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognizes any non-controlling interest in the acquired entity on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets. All other non-controlling interests are measured at fair values, unless otherwise required by other standards. Acquisition-related costs are expensed as incurred.

The excess of consideration transferred, amount of any non-controlling interest in the acquired entity and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in the profit or loss as a bargain purchase.

Intercompany transactions, balances and unrealized gains on transactions between group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group. Any difference between the amount of the adjustment to non-controlling interest and any consideration paid or received is recognized in a separate reserve within equity attributable to owners of the Parent Company.

When the Group ceases to consolidate for a subsidiary because of a loss of control, any retained interest in the subsidiary is remeasured to its fair value with the changed in carrying amount recognized in profit or loss.

(b) Associates and joint ventures

Associates are those entities in which the Company has significant influence, but no control or joint control, over the financial and operating policies.

A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in associates and joint ventures are accounted for using the equity method of accounting, after initially being recognized at cost. Unrealized gains on transactions between the

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Group and its associates and joint ventures are eliminated to the extent of the Group's interest in the associates and joint ventures. If the Group's share of losses of an associate and joint venture equals or exceeds its interest in the associate and joint venture (including long-term interests that, in substance, form part of the Group's net investment in the associate and joint venture), the Group discontinues recognizing its share of further losses. After the Group's interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

If there is an objective evidence of impairment for the investment in the associate and joint venture, the Group recognizes the difference between the recoverable amount of the associate and joint venture and its book amount as impairment loss. If an associate and joint venture uses accounting policies other than those of the Group for like transactions and events in similar circumstances, if necessary, adjustments shall be made to make the accounting policies of the associate and joint venture conform to those of the Group when the financial statements of the associate and joint venture are used by the Group in applying the equity method.

2.4 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Group are measured using the currency of the primary economic environment in which each entity operates (the "functional currency"). The consolidated financial statements are presented in Korean won, which is the Group's functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive

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income.

2.6 Financial Assets

(a) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured at amortized cost
- those to be measured at fair value through other comprehensive income, and
- those to be measured at fair value through profit or loss.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Group reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

(b) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

A. Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. The Group classifies its debt instruments into one of the following three measurement categories:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.

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- Fair value through other comprehensive income: Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Movements in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.
- Fair value through profit or loss: Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in 'finance income or costs'.

B. Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments, which held for long-term investment or strategic purpose, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividend income from such investments continue to be recognized as 'finance income' when the right to receive payments is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'finance income and expenses'. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately from other changes in fair value.

(c) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables and lease receivables, the Group applies the simplified approach, which requires expected lifetime credit losses to be recognized from initial recognition of the receivables.

(d) Recognition and Derecognition

Regular way purchases and sales of financial assets are recognized or derecognized on trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Group has retained substantially all the risks and rewards of ownership of the transferred asset, the Group continues to recognize the

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transferred asset in its entirety and recognizes a financial liability for the consideration received.

(e) Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty.

2.7 Derivative Instruments

Derivatives are initially recognized at fair value on the date when a derivative contract is entered into and are subsequently remeasured at their fair value at the end of each reporting period. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognized immediately in profit or loss based on the nature of transactions.

2.8 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components when they are recognized at fair value.

2.9 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method or moving weighted average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition.

Inventories are measured at the lower of cost and net realizable value. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as cost of revenue in the period in which the reversal occurs.

2.10 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset,

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as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to the statements of other comprehensive income during the financial period in which they are incurred.

Depreciation of all property, plant and equipment, except for land, is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives as follows:

	Useful lives
Buildings and Structures	40 years
Machinery	5 ~ 15
Vehicles	4
Others	4

The assets' depreciation method, residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized in profit or loss.

2.11 Borrowing Costs

The Group capitalizes borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset. Other borrowing costs are recognized in expense as incurred. A qualifying asset is an asset that requires a substantial period of time to get ready for its intended use or sale. Financial assets and inventories that are manufactured or otherwise produced over a short period of time are not qualifying assets. Assets that are ready for their intended use or sale when acquired are not qualifying assets.

To the extent that the Group borrows funds specifically for the purpose of obtaining a qualifying asset, the Group determines the amount of borrowing costs eligible for capitalization as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. To the extent that the Group borrows funds generally and uses them for the purpose of obtaining a qualifying asset, the Group shall determine the amount of borrowing costs eligible for capitalization by applying a capitalization rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to the borrowings of the Group that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs that the Group capitalizes during a period shall not exceed the amount of borrowing costs incurred during that period.

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2.12 Government Grants

Grants from the government are recognized at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all attached conditions.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

2.13 Intangible Assets

Intangible assets are initially recognized at its historical cost, and carried at cost less accumulated amortization and accumulated impairment losses.

Subsequent expenditures are capitalized only when they increase the future economic benefits embodied in the specific asset to which it relates. All other expenditures, including expenditures on internally generated goodwill, are recognized in profit or loss as incurred.

Amortization of intangible assets is calculated on a straight-line basis over the following estimated useful lives of intangible assets from the date that they are available for use. The residual value of intangible assets is zero. However, as there are no foreseeable limits to the periods over which memberships are expected to be available for use, they are determined as having indefinite useful lives and not amortized.

	Useful lives
Software	5 years
Other intangible assets	5
Land use rights	50
Memberships	indefinite

Useful lives and the amortization methods for intangible assets with finite useful lives are reviewed at the end of each reporting period. The useful lives of intangible assets that are not being amortized are reviewed at the end of each reporting period to determine whether events and circumstances continue to support indefinite useful life assessments for those assets. Changes are accounted for as changes in accounting estimates.

2.14 Investment Property

Investment property is property held to earn rentals or for capital appreciation or both. An investment property is measured initially at its cost. An investment property is measured after initial measurement at depreciated cost (less any accumulated impairment losses). After recognition as an asset, investment property is carried at cost less accumulated depreciation and impairment losses. The Group depreciates investment properties, except for landscaping, using

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the straight-line method over their useful lives.

2.15 Impairment of Non-financial Assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.16 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period.

2.17 Financial Liabilities

(a) Classification and measurement

The Group's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not a designated as hedging instruments and an embedded derivative that is separated are also classified as held for trading.

The Group classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the statement of financial position.

(b) Derecognition

Financial liabilities are removed from the statement of financial position when it is extinguished; for example, when the obligation specified in the contract is discharged or cancelled or expired or when the terms of an existing financial liability are substantially modified. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

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2.18 Provisions and Contingencies

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period, and the increase in the provision due to the passage of time is recognized as interest expense.

A contingent liability is disclosed when; - a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or - a present obligation that arises from past events but is not recognized because: it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability.

2.19 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the sum of the carrying amount of the allocated allowances that will be submitted to the government and the best estimate of expenditure required to settle the obligation at the end of reporting period for any excess emission. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.20 Current and Deferred Tax

The tax expense for the period consists of current and deferred tax. Current and deferred tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is measured at the amount expected to be paid to the taxation authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred

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income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses.

The Group recognizes a deferred tax liability all taxable temporary differences associated with investments in associates, and interests in joint arrangements, except to the extent that the Group is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. In addition, The Group recognizes a deferred tax asset for all deductible temporary differences arising from such investments to the extent that it is probable the temporary difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilized.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset when the Group has a legally enforceable right to offset and intends either to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.21 Employee Benefits

(a) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to the Group during an accounting period, the Group recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service.

(b) Other long-term employee benefits

Other long-term employee benefits include employee benefits that are settled beyond 12 months after the end of the period in which the employees render the related service, and are calculated at the present value of the amount of future benefit that employees have earned in return for their service in the current and prior periods. Any changes from re-measurements are recognized through profit or loss in the period in which they arise.

(c) Post-employment benefits: defined benefit plan

Generally, post-employment benefits are payable after the completion of employment, and the benefit amount depended on the employee's age, periods of service or salary levels. The liability recognized in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries

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using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in other comprehensive income.

Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailments are recognized immediately in profit or loss as past service costs.

2.22 Contributed Capital

Ordinary shares are classified as equity. Transaction costs directly related to the issuance of ordinary shares and share options are recognized as a deduction from equity.

2.23 Earnings per Share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held. The Group has no dilutive potential shares, therefore diluted loss per share is equal to the basic earnings (loss) per share.

2.24 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Group manufactures and supplies made-to-order bio-medicine. Services mandatorily rendered prior to a production of bio-medicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of bio-medicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Group provides cell line and upstream/downstream process development services. As each research and development stages is linked together and is highly interdependent and highly interrelated; therefore, the Group recognizes a contract as single performance obligation.

(b) Performance obligation satisfied over time

- CMO business

Goods manufactured by the Group do not have an alternative use to the Group, and it has an enforceable right to payment for performance completed to date. This is because that the Group produces bio-medicine at a quality that a customer requires and is entitled to reimbursement of

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the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Group recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Revenue for bio-medicine other than payments related to transfer of technology and engineering batch production is recognized as revenues to the extent of the consideration equivalent to the Group's right to request for payment. Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over time during a contract period as a customer simultaneously receives and consumes the benefits provided by the Group as the Group performs research and development services.

(c) Costs to fulfill a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying (or in continuing to satisfy) performance obligations in the future, and are expected to be recovered, the costs are recognized as assets. And the costs to fulfill a contract are recognized as cost of revenue based on percentage of completion.

(d) Contract assets and contract liabilities

- CMO business

The Group recognizes the amount of the advance consideration by customers related to transfer of technology to manufacture products that customer request and engineering batch production as contract liabilities and related costs as costs to fulfill a contract. Such activities are required in advance for production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Group estimates the amount of consideration to which the Group will be entitled in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the

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occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

2.25 Leases

(a) Accounting policies of lessor

Lease income from operating leases where the Group is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) lessee

The Group leases various offices, equipment and vehicles. Lease contracts are typically made for fixed periods of 2 to 3 years, but may have extension options.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Extension and termination options are included in a number of leases. These terms are used to maximize operational flexibility in terms of managing contracts. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in option periods if the lessee is reasonably certain to exercise an option to extend the lease.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Group is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and

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adjusted against the right-of-use asset.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life. The Group elected not to apply that revaluation model to buildings held by the Company that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.26 Approval of Issuance of the Financial Statements

The consolidated financial statements 2020 were approved for issue by the Board of Directors on January 26, 2021 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Critical Accounting Estimates and Assumptions

The preparation of financial statements requires the Group to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Group's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in

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relevant notes.

(a) Income taxes

The Group's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 29).

If certain portion of the taxable income is not used for investments or increase in wages or dividends, the Group is liable to pay additional income tax calculated based on the tax laws. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Group's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty measuring the final tax effects.

(b) Impairment of investments in associates and joint ventures

The Group reviews whether there are any impairment indicators of investments in associates and joint ventures annually at the end of each reporting period. An impairment assessment is performed when it is determined that there is an indicator of impairment or considering the material amount of investments at the end of every year. The carrying value is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. An impairment loss is recognized immediately as an expense and is subsequently reversed as recoverable amount of the investment subsequently increases.

(c) Impairment of costs to fulfill a contract

The Group reviews whether there are any impairment indicators of costs to fulfil a contract at the end of each reporting period. The Group recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfil a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Impact of Coronavirus disease 2019 ("COVID-19")

Significant accounting estimates and assumptions applied in the preparation of the consolidated financial statements can be adjusted depending on changes in the uncertainty from COVID-19. However, the ultimate effect of COVID-19 to the Group's business, financial position and performance, and liquidity cannot presently be determined.

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4. Operating Segments

The Group has disclosed operating segments in the financial statements in accordance with Korean IFRS 1108. The Group has one reportable segment, 'Biosimilar manufacturing', as at December 31, 2020.

Details of customers, who take over 10% of the Group's total revenue for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>		2020		2019
Client A	₩	259,056,971	₩	183,125,111
Client B		228,547,835		107,068,561
Client C		121,762,788		82,980,005
Client D		81,442,218		188,387,885
	₩	<u>690,809,812</u>	₩	<u>561,561,562</u>

Geographic revenue for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>		2020		2019
Domestic	₩	296,608,407	₩	207,119,950
Europe		527,492,992		418,234,272
USA		289,478,401		62,384,398
Other		51,197,074		13,853,240
	₩	<u>1,164,776,874</u>	₩	<u>701,591,860</u>

5. Financial Instruments

(a) Financial assets

Categories of financial assets as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>			2020		
		Financial assets at fair value through profit or loss	Financial assets measured at amortized cost		Total
Current assets					
Cash and cash equivalents	₩	-	₩ 28,850,121	₩	28,850,121
Short-term financial instruments		-	300,000,000		300,000,000
Financial assets at fair value through profit		500,046,403	-		500,046,403
Trade and other receivables		-	217,932,307		217,932,307
Loans		-	400,000		400,000
Deposits provided		-	23,155,629		23,155,629
		<u>500,046,403</u>	<u>570,338,057</u>		<u>1,070,384,460</u>

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Non-current assets			
Long-term financial instruments	-	174,482	174,482
Trade and other receivables	-	28,671,559	28,671,559
Loans	-	300,000	300,000
Deposits provided	-	22,884,192	22,884,192
Derivative assets ¹	-	-	-
	-	52,030,233	52,030,233
	₩ 500,046,403	₩ 622,368,290	₩ 1,122,414,693

(in thousands of Korean won)

(in thousands of Korean won)

	2019				
	Financial assets at fair value through profit or loss		Financial assets measured at amortized cost		Total
Current assets					
Cash and cash equivalents	₩	-	₩	125,100,653	₩ 125,100,653
Short-term financial instruments		-		320,000,000	320,000,000
Financial assets at fair value through profit or loss		210,040,293		-	210,040,293
Trade and other receivables		-		187,118,116	187,118,116
Loans		-		-	-
Deposits provided		-		34,782,011	34,782,011
		210,040,293		667,000,780	877,041,073
Non-current assets					
Long-term financial instruments		-		7,000	7,000
Trade and other receivables		-		-	-
Loans		-		400,000	400,000
Deposits provided		-		8,095,962	8,095,962
Derivative assets ¹		1,002,990		-	1,002,990
		1,002,990		8,502,962	9,505,952
	₩	211,043,283	₩	675,503,742	₩ 886,547,025

¹ Details of the derivative from currency interest swap into which the Group entered for foreign currency borrowings as at December 31, 2020, are as follows:

Classification	Category	Financial institution	Contracted amount	Contract date	Maturity date	Currency(*)		Contracted exchange rate	Interest rate(%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Hana Bank	USD 30,000,000	2018-05-31	2023-05-31	USD	KRW	1,080.00	Libor(3M) + 1.70	3.70

(*) It is stated based on the contract position at the point of borrowing.

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(b) *Financial liabilities*

Categories of financial liabilities as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020			
	Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩ -	₩ 144,261,210	₩ -	₩ 144,261,210
Debentures	-	149,927,459	-	149,927,459
Short-term borrowings	-	30,000,000	-	30,000,000
Current portion of long-term borrowings	-	10,980,000	-	10,980,000
Lease liabilities	-	-	6,532,621	6,532,621
	-	335,168,669	6,532,621	341,701,290
Non-current liabilities				
Trade and other payables ¹	-	4,671,378	-	4,671,378
Debentures	-	39,930,899	-	39,930,899
Long-term borrowings	-	531,520,000	-	531,520,000
Derivative liabilities ²	1,265,012	-	-	1,265,012
Lease liabilities	-	-	16,014,284	16,014,284
	1,265,012	576,122,277	16,014,284	593,401,573
	₩ 1,265,012	₩ 911,290,946	₩ 22,546,905	₩ 935,102,863

(in thousands of Korean won)

	2019			
	Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩ -	₩ 68,251,491	₩ -	₩ 68,251,491
Debentures	-	-	-	-
Short-term borrowings	-	150,000,000	-	150,000,000
Current portion of long-term borrowings	-	251,650,000	-	251,650,000
Lease liabilities	-	-	3,248,590	3,248,590
	-	469,901,491	3,248,590	473,150,081
Non-current liabilities				
Trade and other payables ¹	-	4,767,292	-	4,767,292
Debentures	-	189,755,125	-	189,755,125
Long-term borrowings	-	46,412,000	-	46,412,000
Derivative liabilities ²	-	-	-	-
Lease liabilities	-	-	12,640,694	12,640,694
	-	240,934,417	12,640,694	253,575,111
	₩ -	₩ 710,835,908	₩ 15,889,284	₩ 726,725,192

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¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

² Details of the derivative from currency interest swap and interest swap as at December 31, 2020, are as follows:

Classification	Category	Financial institution	Contracted amount (in USD)	Contract date	Maturity date	Currency(*)		Contracted exchange rate	Interest rate(%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Hana Bank	USD 30,000,000	2018-05-31	2023-05-31	USD	KRW	1,080.00	Libor(3M) + 1.70	3.70

(*) It is stated based on the contract position at the point of borrowing.

Classification	Category	Financial institution	Contracted amount (in Korean won)	Contract date	Maturity date	Interest rate(%)	
						Receiving	Paying
Trading	Interest swap	Woori Bank	₩ 50,000,000,000	2020-09-28	2023-10-02	CD(91D) + 1.23	2.25

(c) The fair values of financial instruments

The fair values of financial instruments, together with the carrying amounts shown in the statement of financial position as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020		2019	
	Carrying amount	Fair value	Carrying amount	Fair value
Assets measured at fair value				
Financial assets at fair value through profit or loss	₩ 500,046,403	₩ 500,046,403	₩ 210,040,293	₩ 210,040,293
Derivative assets	-	-	1,002,990	1,002,990
	<u>500,046,403</u>	<u>500,046,403</u>	<u>211,043,283</u>	<u>211,043,283</u>
Assets not measured fair value				
Cash and cash equivalents	28,850,121	28,850,121	125,100,653	125,100,653
Short-term financial instruments	300,000,000	300,000,000	320,000,000	320,000,000
Long-term financial instruments	174,482	174,482	7,000	7,000
Trade and other receivables	246,603,866	246,603,866	187,118,116	187,118,116
Loans	700,000	700,000	400,000	400,000
Deposits provided	46,039,821	46,039,821	42,877,973	42,877,973
	<u>622,368,290</u>	<u>622,368,290</u>	<u>675,503,742</u>	<u>675,503,742</u>
	<u>₩ 1,122,414,693</u>	<u>₩ 1,122,414,693</u>	<u>₩ 886,547,025</u>	<u>₩ 886,547,025</u>
Liabilities carried at fair value				
Derivative liabilities	₩ 1,265,012	₩ 1,265,012	-	-
Liabilities carried at amortized cost				
Trade and other payables	148,932,588	148,932,588	73,018,783	73,018,783
Debentures	189,858,358	189,858,358	189,755,125	189,755,125

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Borrowings	572,500,000	572,500,000	448,062,000	448,062,000
	911,290,946	911,290,946	710,835,908	710,835,908
	₩ 912,555,958	₩ 912,555,958	₩ 710,835,908	₩ 710,835,908

(d) Fair value hierarchy

The following presents financial instruments measured and recognized at fair value as at December 31, 2020 and 2019:

<i>(in thousands of Korean won)</i>		2020			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 500,046,403	₩ -	₩ 500,046,403
Derivative assets					
Financial liabilities					
Derivative liabilities		-	1,265,012	-	1,265,012
<i>(in thousands of Korean won)</i>		2019			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 210,040,293	₩ -	₩ 210,040,293
Derivative assets			1,002,990		1,002,990

(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2 at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	Fair value		Valuation techniques	Significant unobservable inputs
	2020	2019		
Financial assets at fair value through profit or loss	₩ 500,046,403	₩ 210,040,293	Market approach	-
Derivative assets	-	1,002,990		Currency forward rate, interest rate, discount rate, and others
Derivative liabilities (currency interest swap)	1,132,616	-	Discount cash flow model	Interest rate, discount rate, and others
Derivative liabilities (interest swap)	132,396	-		

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(f) Net Gains or Losses by Category of Financial Instruments

Net gains or losses on each category of financial instruments for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	Interest income (expenses)		Gain on valuation		Other income (expenses)¹		Net income (loss)	
	2020	2019	2020	2019	2020	2019	2020	2019
Financial assets at amortized cost	₩ 13,140,465	₩17,246,464	₩ -	₩ -	₩(15,456,051)	₩(6,877,661)	₩ (2,315,586)	₩10,368,803
Financial assets at fair value through profit or loss	-	-	185,480	45,759	118,475	361,459	303,955	407,218
Derivative assets	-	-	-	1,193,321	-	-	-	1,193,321
Financial liabilities at amortized cost	(15,478,126)	(25,093,385)	-	-	12,260,157	2,503,481	(3,217,969)	(22,589,904)
Derivative liabilities	-	-	(2,268,002)	-	-	-	(2,268,002)	-
Other liabilities	(607,496)	(521,337)	-	-	-	-	(607,496)	(521,337)
	<u>₩(2,945,157)</u>	<u>₩(8,368,258)</u>	<u>₩(2,082,522)</u>	<u>₩1,239,080</u>	<u>₩ (3,077,419)</u>	<u>₩(4,012,721)</u>	<u>₩ (8,105,098)</u>	<u>₩ (11,141,899)</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, and gain (loss) on disposal of financial assets at fair value through profit or loss.

6. Cash and Cash Equivalents

Cash and cash equivalents as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Demand deposits	₩ 28,850,121	₩ 125,100,653

7. Restricted Financial Instruments

Restriction of financial instruments as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019	Note
Long-term financial instruments	₩ 7,000	₩ 7,000	Deposits on checking accounts
	167,482	-	Establishment of a pledge right
	₩ 174,482	₩ 7,000	

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8. Trade and Other Receivables

Details of trade and other receivables as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020					
	Related parties		Others		Total	
Trade receivables	₩	65,579,967	₩	173,183,594	₩	238,763,561
Other receivables		143,416		3,876,654		4,020,070
Accrued income		18,340		3,801,896		3,820,236
	₩	65,741,723	₩	180,862,144	₩	246,603,867

<i>(in thousands of Korean won)</i>	2019					
	Related parties		Others		Total	
Trade receivables	₩	98,332,044	₩	82,791,067	₩	181,123,111
Other receivables		187,456		1,869,989		2,057,445
Accrued income		753,409		3,184,150		3,937,559
	₩	99,272,909	₩	87,845,206	₩	187,118,115

The aging analysis of non-impaired trade and other receivables as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
Receivables not past due	₩	235,408,757	₩	171,651,512
Past due				
Less than 1 month		11,190,536		15,315,193
Between 1 and 3 months		4,574		151,410
	₩	246,603,867	₩	187,118,115

The Group calculated an estimate of expected credit losses based on actual credit loss experience over the past two years and determined that it is not necessary to recognize allowance for trade and other receivables.

9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2020 and 2019, are as follows:

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(in thousands of Korean won)

	2020			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 149,847,587	₩ 57,924,650	₩ (21,064,095)	₩ 186,708,142
Contract assets - unbilled	1,635,300	18,583,494	(10,170,514)	10,048,280
Contract liabilities	145,129,256	104,973,314	(52,985,698)	197,116,872

(in thousands of Korean won)

	2019			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 95,743,870	₩ 70,960,964	₩ (16,857,247)	₩ 149,847,587
Contract assets - unbilled	834,768	7,672,591	(6,872,059)	1,635,300
Contract liabilities	101,104,790	93,011,436	(48,986,970)	145,129,256

Costs incurred in fulfilling a contract include costs for technology transfer and trial batches production in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for production of goods ordered. Accordingly, they do not consist as part of a performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes any advance consideration received from a customer in relation to technology transfer and engineering batch production as contract liabilities.

There is no impairment loss on contract assets recognized as profit or loss during the year ended December 31, 2020. Reversal of impairment loss of ₩ 2,263,141 thousand on contract assets is recognized during the year ended December 31, 2019.

Besides the above contract liabilities recognized, the Group classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 147,373,367	₩ 179,483,422	₩ (156,895,893)	₩ 169,960,896

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		Beginning balance	2019		Ending balance
			Increase	Decrease	
Advance receipts	₩	85,239,342	₩ 158,124,643	₩ (95,990,618)	₩ 147,373,367

10. Inventories

Details of inventories as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

		2020		
		Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩	94,294,145	₩ (1,426,572)	₩ 92,867,573
Work-in-process		197,563,566	(580,657)	196,982,909
Raw materials		209,310,462	(451,392)	208,859,070
Supplies		148,756,277	(1,505,733)	147,250,544
	₩	649,924,450	₩ (3,964,354)	₩ 645,960,096

(in thousands of Korean won)

		2019		
		Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩	129,653,310	₩ (7,710,652)	₩ 121,942,658
Work-in-process		141,173,973	(5,372,286)	135,801,687
Raw materials		111,630,168	-	111,630,168
Supplies		83,095,414	-	83,095,414
	₩	465,552,865	₩ (13,082,938)	₩ 452,469,927

During the year ended December 31, 2020, reversal of loss on valuation of ₩ 9,118,584 thousand was recognized while loss on valuation of ₩ 6,215,383 thousand was recognized during the year ended December 31, 2019. The amounts are included in cost of revenue.

11. Other Financial Assets

Details of other financial assets as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

		2020		2019	
		Current	Non-current	Current	Non-current
Deposits provided	₩	23,155,629	₩ 22,884,192	₩ 34,782,011	₩ 8,095,962
Loans		400,000	300,000	-	400,000
Derivative assets		-	-	-	1,002,990
	₩	23,555,629	₩ 23,184,192	₩ 34,782,011	₩ 9,498,952

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12. Other Assets

Details of other assets as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020		2019	
	Current	Non-current	Current	Non-current
Advance payments	₩ 13,448	₩ -	₩ 18,390	₩ -
Prepaid expenses	7,124,376	1,283,412	5,919,923	956,721
	<u>₩ 7,137,824</u>	<u>₩ 1,283,412</u>	<u>₩ 5,938,313</u>	<u>₩ 956,721</u>

13. Investments in Associates and Joint Ventures

Investments in associates and joint ventures as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)	Major business location	Primary business	Fiscal date	2020		2019	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Archigen Biotech Limited ¹	The United Kingdom	Bio-medicine business	2020.12.31	₩ -	50.00%	₩ 2,765,976	50.00%
Samsung Bioepis Co., Ltd. ²	Republic of Korea	Biosimilar research and commercialization	2020.12.31	2,634,428,494	50.00%	2,649,965,646	50.00%
				<u>₩2,634,428,494</u>		<u>₩2,652,731,622</u>	

¹ On September 2020, the Company and AstraZeneca have agreed to initiate a wind-down of Archigen Biotech Limited.

² Samsung Bioepis Co., Ltd. was established in 2012 in a joint venture between the Group and Biogen Therapeutics Inc. for development and commercialization of biosimilar. The Group had classified Samsung Bioepis Co., Ltd. as a subsidiary until 2015 when the Group lost its control that potential voting rights held by Biogen Therapeutics Inc. were changed to substantive rights to Samsung Bioepis Co., Ltd. and related activities could not be controlled unilaterally due to the composition of the board of directors and the quorum for voting at shareholder meeting under the agreement. According to the joint venture agreement between the Group and Biogen Therapeutics Inc., Samsung Bioepis Co., Ltd. entered into a contract for intellectual property and others with Biogen Therapeutics Inc. and other companies.

Biogen Therapeutics Inc. exercised the call option to purchase shares of Samsung Bioepis Co., Ltd., on June 29, 2018. All legal procedures related to exercising the call option were completed. Accordingly, as at December 31, 2020, the percentage of the Group's ownership is 50%+1 share.

Changes in investments in associates and joint ventures for the years ended December 31, 2020 and 2019, are as follows:

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(in thousands of Korean won)	2020				
	Beginning balance	Acquisition	Share of profit (loss)	Other changes ¹	Ending balance
Archigen Biotech Limited ²	₩ 2,765,976	₩ -	₩ (2,847,956)	₩ 81,980	₩ -
Samsung Bioepis Co., Ltd.	2,649,965,646	-	(14,919,738)	(617,414)	2,634,428,494
	<u>₩ 2,652,731,622</u>	<u>₩ -</u>	<u>₩ (17,767,694)</u>	<u>₩ (535,434)</u>	<u>₩ 2,634,428,494</u>

¹ Other changes include changes in equity of investee and changes in exchange rate.

² As the carrying amount became less than zero during the year ended December 31, 2020, the application of the equity method was discontinued. Accordingly, share of loss which was not recognized during the year ended December 31, 2020, is ₩ 1,148,724 thousand.

(in thousands of Korean won)	2019				
	Beginning balance	Acquisition	Share of profit (loss)	Other changes ¹	Ending balance
Archigen Biotech Limited	₩ -	₩ 18,101,000	₩ (15,144,614)	₩ (190,410)	₩ 2,765,976
Samsung Bioepis Co., Ltd.	2,561,802,521	-	88,084,729	78,396	2,649,965,646
	<u>₩ 2,561,802,521</u>	<u>₩ 18,101,000</u>	<u>₩ 72,940,115</u>	<u>₩ (112,014)</u>	<u>₩ 2,652,731,622</u>

¹ Other changes include changes in equity of investee and changes in exchange rate.

Financial information of investees as at December 31, 2020 and 2019 and for the years ended December 31, 2020 and 2019, are summarized as follows:

(in thousands of Korean won)	2020						
	Current assets	Non-current assets	Current liabilities	Non-current liabilities	Revenue	Profit (loss) for the year	Total comprehen- sive income(loss)
Archigen Biotech Limited	₩ 4,595,521	₩ 338	₩ 6,893,306	₩ -	₩ -	₩(8,132,889)	₩(7,829,399)
Samsung Bioepis Co., Ltd. ¹	1,582,667,902	1,035,334,688	1,275,266,075	540,127,070	777,373,656	137,962,743	136,727,913

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

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(in thousands of Korean won)	2020							
	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	Depreciation	Amortization	Interest income	Interest expense	Income tax expense (benefit)
Archigen Biotech Limited	₩ 3,166,539	₩ 6,893,306	₩ -	₩ 5,432	₩ -	₩ 136,073	₩ 6,127	₩ 159
Samsung Bioepis Co., Ltd. ¹	97,726,723	858,605,678	397,542,179	13,030,939	45,303,106	763,422	12,517,222	4,204,300

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

(in thousands of Korean won)	2019							Total comprehen- sive income (loss)
	Current assets	Non-current assets	Current liabilities	Non-current liabilities	Revenue	Profit (loss) for the year		
Archigen Biotech Limited	₩ 17,872,041	₩ 1,937	₩ 12,342,027	₩ -	₩ -	₩(14,811,652)	₩(14,446,884)	
Samsung Bioepis Co., Ltd. ¹	1,677,876,662	824,352,556	1,611,430,379	224,917,308	765,859,497	263,418,473	263,747,201	

¹ The amounts are based on financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

(in thousands of Korean won)	2019							
	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	Depreciation	Amortization	Interest income	Interest expense	Income tax expense (benefit)
Archigen Biotech Limited	₩ 12,247,091	₩ 11,815,428	₩ -	₩ 20,558	₩ -	₩ 166,782	₩ 456	₩ 285,137
Samsung Bioepis Co., Ltd. ¹	155,186,541	1,036,075,051	92,634,150	13,608,736	40,299,185	4,759,891	17,083,740	(157,788,954)

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

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Reconciliation of the investees' financial information to the carrying value of the Company's interest in associates and joint ventures as at December 31, 2020 and 2019, are as follows:

(in thousands of
Korean won)

	2020						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference ¹	Unrealized intercompany transactions	Unrecognized gain	Book amount
Archigen Biotech Limited	₩ (2,297,447)	₩ 50.00%	₩ (1,148,724)	₩ -	₩ -	₩ 1,148,724	₩ -
Samsung Bioepis Co., Ltd.	802,609,444	50.00%	401,304,761	2,364,720,406	(131,596,673)	-	2,634,428,494

¹ Investment difference includes adjustment of net assets value at the point of loss of control and a tentative amount related to irregular capital increase, and the amortization effect.

(in thousands of
Korean won)

	2019					
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference ¹	Unrealized intercompany transactions	Book amount
Archigen Biotech Limited	₩ 5,531,951	50.00%	₩ 2,765,976	₩ -	₩ -	₩ 2,765,976
Samsung Bioepis Co., Ltd.	665,881,531	50.00%	332,940,798	2,383,358,064	(66,333,216)	2,649,965,646

¹ Investment difference includes adjustment of net assets value at the point of loss of control and a tentative amount related to irregular capital increase, and the amortization effect.

14. Investment Properties

Details of investment properties as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)	2020			2019		
	Acquisition cost	Accumulated depreciation	Book amount	Acquisition cost	Accumulated depreciation	Book amount
Buildings	₩ 20,480,236	₩ (853,343)	₩ 19,626,893	₩ 20,480,236	₩ (341,337)	₩ 20,138,899
Structures	45,052	(1,877)	43,175	45,052	(751)	44,301
Others	577,893	-	577,893	577,893	-	577,893
	₩ 21,103,181	₩ (855,220)	₩ 20,247,961	₩ 21,103,181	₩ (342,088)	₩ 20,761,093

Changes in investment properties for the years ended December 31, 2020 and 2019, are as follows:

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(in thousands of Korean won)	2020					
	Beginning balance		Depreciation		Ending balance	
Buildings	₩	20,138,899	₩	(512,006)	₩	19,626,893
Structures		44,301		(1,126)		43,175
Others		577,893		-		577,893
	₩	20,761,093	₩	(513,132)	₩	20,247,961

(in thousands of Korean won)	2019					
	Beginning balance		Acquisition		Depreciation	
Buildings	₩	-	₩	20,480,236	₩	(341,337)
Structures		-		45,052		(751)
Others		-		577,893		-
	₩	-	₩	21,103,181	₩	(342,088)

Depreciation of investment properties was recognized as selling, general and administrative expenses.

Fair value of investment properties as at December 31, 2020, is ₩ 19,372 million.

As at December 31, 2020, investment properties consist of buildings and structures leased to Samsung Bioepis Co., Ltd., as an associate of the Group. During the year ended December 31, 2020, rental income from investment property is ₩ 1,500 million.

The future minimum lease payments expected to be received in relation to the above operating lease agreement for investment property as at December 31, 2020, are as follows:

(in thousands of Korean won)	2020	
Within one year	₩	125,000
Later than one year		-
	₩	125,000

15. Property, Plant and Equipment

Property, plant and equipment as at December 31, 2020 and 2019, consist of:

(in thousands of Korean won)	2020			2019		
	Acquisition cost	Accumulated depreciation	Book amount	Acquisition cost	Accumulated depreciation	Book amount
Buildings	₩ 782,068,576	₩ (81,219,199)	₩ 700,849,377	₩ 780,731,716	₩ (61,738,343)	₩ 718,993,373

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Structures	10,837,402	(1,414,048)	9,423,354	10,341,793	(1,154,750)	9,187,043
Machinery	1,294,148,353	(392,094,069)	902,054,284	1,207,232,972	(288,333,414)	918,899,558
Vehicles	1,095,237	(889,107)	206,130	1,007,337	(744,034)	263,303
Others	49,571,054	(31,006,512)	18,564,542	43,725,422	(24,990,728)	18,734,694
Construction-in-progress	105,469,602	-	105,469,602	36,714,553	-	36,714,553
	<u>₩ 2,243,190,224</u>	<u>₩ (506,622,935)</u>	<u>₩ 1,736,567,289</u>	<u>₩ 2,079,753,793</u>	<u>₩ (376,961,269)</u>	<u>₩ 1,702,792,524</u>

Changes in property, plant and equipment for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>		2020					
		Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Buildings	₩	718,993,373	₩ -	₩ (1,250,935)	₩ (19,575,808)	₩ 2,682,747	₩ 700,849,377
Structures		9,187,043	-	-	(259,298)	495,609	9,423,354
Machinery		918,899,558	1,518,890	(68,610)	(104,367,536)	86,071,982	902,054,284
Vehicles		263,303	81,600	(733)	(148,740)	10,700	206,130
Others		18,734,694	1,621,246	(91,861)	(7,063,425)	5,363,888	18,564,542
Construction-in-progress		36,714,553	163,796,711	-	-	(95,041,662)	105,469,602
	₩	<u>1,702,792,524</u>	<u>₩ 167,018,447</u>	<u>₩ (1,412,139)</u>	<u>₩ (131,414,807)</u>	<u>₩ (416,736)</u>	<u>₩ 1,736,567,289</u>

<i>(in thousands of Korean won)</i>		2019					
		Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Buildings	₩	725,623,501	₩ 130,657	₩ (149,418)	₩ (19,523,464)	₩ 12,912,097	₩ 718,993,373
Structures		7,071,307	-	-	(222,519)	2,338,255	9,187,043
Machinery		904,716,994	1,316,151	(465,363)	(93,109,928)	106,441,704	918,899,558
Vehicles		377,032	47,757	-	(161,486)	-	263,303
Others		22,816,380	2,325,435	(36,187)	(8,874,953)	2,504,019	18,734,694
Construction-in-progress		57,115,774	104,849,634	-	-	(125,250,855)	36,714,553
	₩	<u>1,717,720,988</u>	<u>₩ 108,669,634</u>	<u>₩ (650,968)</u>	<u>₩ (121,892,350)</u>	<u>₩ (1,054,780)</u>	<u>₩ 1,702,792,524</u>

Classification of depreciation for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Cost of revenue	₩ 126,688,822	₩ 116,521,788

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Selling, general and administrative expenses	4,725,984	5,370,562
	₩ 131,414,806	₩ 121,892,350

During the year ended December 31, 2020, the Group has capitalized borrowing costs amounting to ₩ 81,090 thousand on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 2.61%. (2019: not applicable).

16. Intangible Assets

Intangible assets as at December 31, 2020 and 2019, consist of:

(in thousands of Korean won)

	2020			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 42,795,831	₩ (27,956,461)	₩ -	₩ 14,839,370
Others	3,706,855	(1,395,200)	-	2,311,655
Memberships	4,243,388	(521,756)	-	3,721,632
Land use rights	69,525,088	(13,441,517)	(56,083,571)	-
Construction-in-progress	2,471,949	-	-	2,471,949
	₩ 122,743,111	₩ (43,314,934)	₩ (56,083,571)	₩ 23,344,606

(in thousands of Korean won)

	2019			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 40,996,127	₩ (24,968,352)	₩ -	₩ 16,027,775
Others	1,012,652	(880,002)	-	132,650
Memberships	4,243,388	(521,756)	-	3,721,632
Land use rights	69,525,088	(12,051,015)	(57,474,073)	-
Construction-in-progress	1,945,458	-	-	1,945,458
	₩ 117,722,713	₩ (38,421,125)	₩ (57,474,073)	₩ 21,827,515

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Changes in intangible assets for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of
Korean won)

	2020						
	Beginning balance	Acquisition	Disposal and others ¹	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 16,027,775	₩ 388,199	₩ (1,426,283)	₩ (5,592,440)	₩ -	₩ 5,442,119	₩ 14,839,370
Others	132,650	23,700	-	(515,198)	-	2,670,503	2,311,655
Memberships	3,721,632	-	-	-	-	-	3,721,632
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in-progress	1,945,458	8,621,453	(402,823)	-	-	(7,692,139)	2,471,949
	<u>₩ 21,827,515</u>	<u>₩ 9,033,352</u>	<u>₩ (1,829,106)</u>	<u>₩ (7,498,140)</u>	<u>₩ 1,390,502</u>	<u>₩ 420,483</u>	<u>₩ 23,344,606</u>

¹ The Group recognized impairment loss because the recoverable amount of certain intangible assets is less than its carrying amount.

(in thousands of
Korean won)

	2019						
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 14,846,408	₩ 1,242,021	₩ (178,850)	₩ (6,200,796)	₩ -	₩ 6,318,992	₩ 16,027,775
Others	242,656	-	(18,717)	(91,289)	-	-	132,650
Memberships	2,562,432	1,670,200	(511,000)	-	-	-	3,721,632
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in-progress	2,330,138	5,033,399	-	-	-	(5,418,079)	1,945,458
	<u>₩ 19,981,634</u>	<u>₩ 7,945,620</u>	<u>₩ (708,567)</u>	<u>₩ (7,682,587)</u>	<u>₩ 1,390,502</u>	<u>₩ 900,913</u>	<u>₩ 21,827,515</u>

Classification of amortization for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020	2019
Cost of revenue	₩ 2,147,513	₩ 2,752,960
Selling, general and administrative expenses	3,960,125	3,539,125
	<u>₩ 6,107,638</u>	<u>₩ 6,292,085</u>

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17. Debenture and Borrowings

Debentures and borrowings as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020		2019	
	Current	Non-current	Current	Non-current
Debentures	₩ 149,927,459	₩ 39,930,899	₩ -	₩ 189,755,125
Short-term borrowings	30,000,000	-	150,000,000	-
Long-term borrowings	10,980,000	531,520,000	251,650,000	46,412,000
	<u>₩ 190,907,459</u>	<u>₩ 571,450,899</u>	<u>₩ 401,650,000</u>	<u>₩ 236,167,125</u>

Details of debentures as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	Issuance date	Maturity date	Interest rate (%)	2020	2019
The 6-1st placement debenture(non-guaranteed)	2018-04-27	2021-04-27	3.10	₩ 150,000,000	₩ 150,000,000
The 6-2nd placement debenture(non-guaranteed)	2018-04-27	2023-04-27	3.53	40,000,000	40,000,000
Discount on debentures				<u>(141,642)</u>	<u>(244,875)</u>
				189,858,358	189,755,125
Current portion				<u>(149,927,459)</u>	<u>-</u>
				<u>₩ 39,930,899</u>	<u>₩ 189,755,125</u>

Details of short-term borrowings as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	Description	Maturity date	Interest rate (%)	2020	2019
Hana Bank	Loans for equipment	2020-11-13	-		50,000,000
Mizuho Bank	Loans for equipment	2020-12-18	-		70,000,000
Sumitomo Mitsui Bank	General loan	2020-01-28	CD(91D)+0.55	<u>30,000,000</u>	<u>30,000,000</u>
				<u>₩ 30,000,000</u>	<u>₩ 150,000,000</u>

Details of long-term borrowings as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	Description	Maturity date	Interest rate (%)	2020	2019
Korea Development Bank	Loans for equipment	2020-06-12 ¹	-	₩ -	₩ 12,500,000
		2020-12-15 ¹	-	-	20,000,000
Kookmin Bank	Loans for equipment	2020-08-11 ¹	-	-	18,750,000
		2020-09-28	-	-	60,000,000

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Hana Bank	Loans for equipment	2021-02-26 ¹	CD(91D)+1.60	100,000	500,000
		2023-11-14	CD(91D)+1.40	50,000,000	-
	General loan	2023-05-31	Libor+1.70	32,640,000	34,734,000
Woori Bank	Loans for equipment	2020-09-28	-	-	70,000,000
		2023-10-02	CD(91D)+1.43	70,000,000	-
		2023-10-02	CD(91D)+1.23	50,000,000	-
		2023-12-28	CD(91D)+1.43	50,000,000	-
Shinhan Bank	Loans for equipment	2020-09-28	-	-	70,000,000
		2022-09-28	CD(91D)+1.39	70,000,000	-
Sumitomo Mitsui Bank	Overseas investment loans	2021-03-20	LIBOR+1.10	10,880,000	11,578,000
Mizuho Bank	Loans for equipment	2022-07-29	1.57	10,880,000	-
		2022-09-28	CD(91D)+0.85	28,000,000	-
		2023-12-18	1.50	70,000,000	-
		2023-12-28	1.51	100,000,000	-
Current portion				(10,980,000)	(251,650,000)
				₩ 531,520,000	46,412,000

¹ The borrowings have the condition for instalment payment every three months starting from two years before their maturities.

The repayment schedule of debentures and borrowings as at December 31, 2020, are as follows:

<i>(in thousands of Korean won)</i>	Debentures	Short-term borrowings	Long-term borrowings	Total
2021.01.01 ~ 2020.12.31	₩ 150,000,000	₩ 30,000,000	₩ 10,980,000	₩ 190,980,000
2022.01.01 ~ 2021.12.31	-	-	108,880,000	108,880,000
2023.01.01 ~ 2022.12.31	40,000,000	-	422,640,000	462,640,000
2024.01.01 ~	-	-	-	-
	<u>₩ 190,000,000</u>	<u>₩ 30,000,000</u>	<u>₩ 542,500,000</u>	<u>₩ 762,500,000</u>

18. Trade and Other Payables

Details of trade and other payables as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
	Current	Non-current	Current	Non-current
Trade payables	₩ 54,984,011	₩ -	₩ 12,289,708	₩ -
Other payables	65,836,402	-	44,961,882	-
Accrued expenses	64,356,293	9,443,625	43,876,471	8,105,041
Total ¹	<u>₩ 185,176,706</u>	<u>₩ 9,443,625</u>	<u>₩ 101,128,061</u>	<u>₩ 8,105,041</u>

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¹ Trade and other payables to related parties as at December 31, 2020 and 2019, are ₩ 17,038,268 thousand and ₩ 9,492,306 thousand, respectively (Note 32).

19. Emission Liability

(a) Emissions rights

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. For 2020, the Group has been granted free of charge emission rights of 61,443 tons of greenhouse gas emissions for its first and second plants, and the Group plans to apply for additional allocation after confirming the emissions during 2020 from its third plant. There are no emission rights provided as collateral as at December 31, 2020.

(b) Emission liability

Changes in emission liability for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 553,853	₩ 427,060	₩ (553,853)	₩ 427,060

<i>(in thousands of Korean won)</i>	2019			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 1,493,982	₩ 553,853	₩ (1,493,982)	₩ 553,853

The Group estimated that it emitted 123,799 tons of carbon dioxide during the year ended December 31, 2020.

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20. Lease

The amounts relating to leases recognized as at December 31, 2020 and 2019 on the consolidated statement of financial position, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Right-of-use assets¹		
Land	₩ 3,718,063	₩ -
Buildings	20,064,705	15,710,296
Machinery	171,654	241,533
Vehicles	205,802	167,054
	<u>₩ 24,160,224</u>	<u>₩ 16,118,883</u>
Lease liabilities		
Current	₩ 6,532,621	₩ 3,248,590
Non-current	16,014,284	12,640,694
	<u>₩ 22,546,905</u>	<u>₩ 15,889,284</u>

¹ Additions to the right-of-use assets during the years ended December 31, 2020 and 2019, were ₩ 13,693,769 thousand and ₩ 1,757,437 thousand, respectively.

The amounts relating to leases recognized for the year ended December 31, 2020 and 2019, on the consolidated statement of comprehensive, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Statement of comprehensive income:		
Depreciation of right-of-use assets	₩ 5,652,428	₩ 4,358,580
Land	415,138	-
Buildings	4,714,483	3,964,355
Machinery	103,908	51,681
Vehicle	418,899	342,544
Interest expenses	619,126	521,337
Expense relating to short-term leases	128,598	-
Expense relating to variable lease payments not included in lease liabilities	2,163,827	2,091,747
Expense relating to leases of low-value assets	815,461	240,624
	<u>₩ 9,379,440</u>	<u>₩ 7,212,288</u>

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Classification of depreciation of right-of-use assets for the years ended December 31, 2020 and 2019, is as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
Cost of revenue	₩	4,541,374	₩	3,632,110
Selling, general and administrative expenses		1,111,054		726,470
	₩	<u>5,652,428</u>	₩	<u>4,358,580</u>

The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments during the years ended December 31, 2020 and 2019, was ₩ 9,949,447 thousand and ₩ 6,500,158 thousand, respectively.

21. Other Liabilities

Details of other liabilities as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 155,551,652	₩ 14,409,244	₩ 141,361,599	₩ 6,011,768
Withholdings	4,015,464	-	3,345,171	-
	<u>₩ 159,567,116</u>	<u>₩ 14,409,244</u>	<u>₩ 144,706,770</u>	<u>₩ 6,011,768</u>

22. Employee Benefit

Recognized assets and liabilities for employee benefits as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>		2020		2019	
Defined benefit liabilities (asset)	Present value of defined benefit obligations	₩	80,393,148	₩	67,189,324
	Fair value of plan assets		(92,293,291)		(52,760,029)
			<u>(11,900,143)</u>		<u>14,429,295</u>
Trade and other payables	Accrued expenses ¹		40,915,496		32,876,570
	Long-term accrued expenses ¹		4,766,734		3,337,749
			<u>45,682,230</u>		<u>36,214,319</u>
		₩	<u>33,782,087</u>	₩	<u>50,643,614</u>

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¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

Changes in defined benefit liabilities for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	Defined benefit obligations		Plan assets		Net defined benefit liabilities	
	2020	2019	2020	2019	2020	2019
Beginning balance	₩67,189,324	₩49,342,672	₩ (52,760,029)	₩ (36,076,367)	₩14,429,295	₩13,266,305
Included in profit or loss:						
- Current service cost	20,163,499	14,332,455	-	-	20,163,499	14,332,455
- Interest expense (income)	2,178,760	1,433,440	(1,716,241)	(1,055,461)	462,519	377,979
	<u>22,342,259</u>	<u>15,765,895</u>	<u>(1,716,241)</u>	<u>(1,055,461)</u>	<u>20,626,018</u>	<u>14,710,434</u>
Included in other comprehensive income or loss:						
- Remeasurement loss (gain)						
Actuarial loss (gain) arising from						
Demographic assumptions	110,855	1,713,371	-	-	110,855	1,713,371
Financial assumptions	(7,462,799)	(1,617,639)	-	-	(7,462,799)	(1,617,639)
Experience adjustment	(1,544,717)	4,413,247	-	-	(1,544,717)	4,413,247
- Loss on plan assets excluding interest income	-	-	808,876	488,142	808,876	488,142
	<u>(8,896,661)</u>	<u>4,508,979</u>	<u>808,876</u>	<u>488,142</u>	<u>(8,087,785)</u>	<u>4,997,121</u>
Others:						
- Contributions to plan assets	-	-	(37,676,749)	(17,186,203)	(37,676,749)	(17,186,203)
- Benefit payments	(3,479,666)	(3,006,859)	1,851,269	1,648,497	(1,628,397)	(1,358,362)
- Transfer from affiliated companies	3,237,892	578,637	(2,800,417)	(578,637)	437,475	-
	<u>(241,774)</u>	<u>(2,428,222)</u>	<u>(38,625,897)</u>	<u>(16,116,343)</u>	<u>(38,867,671)</u>	<u>(18,544,565)</u>
Ending balance	<u>₩80,393,148</u>	<u>₩67,189,324</u>	<u>₩ (92,293,291)</u>	<u>₩ (52,760,029)</u>	<u>₩(11,900,143)</u>	<u>₩14,429,295</u>

Details of plan assets as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Cash and cash equivalents	₩ 92,293,291	₩ 52,760,029

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The allocations of total expenses related to defined benefit obligation for the years ended December 30, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
Cost of sales	₩	17,061,025	₩	12,649,970
Selling, general and administrative expenses		3,328,069		2,060,464
Construction-in-progress		236,924		-
	₩	<u>20,626,018</u>	₩	<u>14,710,434</u>

The significant actuarial assumptions as at December 31, 2020 and 2019, are as follows:

<i>(in percentage, %)</i>	2020		2019	
Discount rate	3.43	%	3.38	%
Future salary increases	4.97	%	6.01	%

As at December 31, 2020 and 2019, the weighted average duration of the defined benefit obligation is 9.26 years and 8.91 years, respectively.

As at December 31, 2020, effects on present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in thousands of Korean won)</i>	Salary increases		Discount rate	
	1% Up	1% Down	1% Up	1% Down
Present value of defined benefit obligations	₩ 7,902,545	₩ (6,808,363)	₩ (6,637,265)	₩ 7,833,999

23. Share Capital and Reserves

Details of share capital as at December 31, 2020 and 2019, are summarized as follows:

<i>(in Korean won, in shares)</i>	2020		2019	
Number of shares authorized		500,000,000		500,000,000
Par value	₩	2,500	₩	2,500
Number of shares issued		66,165,000		66,165,000
Share capital	₩	165,412,500,000	₩	165,412,500,000

Details of share premium as at December 31, 2020 and 2019, are as follows:

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<i>(in thousands of Korean won)</i>	2020	2019
Additional paid-in capital	₩ 2,496,626,851	₩ 2,496,626,851
Disproportionate capital increase	<u>(9,313,769)</u>	<u>(9,313,769)</u>
	<u>₩ 2,487,313,082</u>	<u>₩ 2,487,313,082</u>

Details of accumulated other comprehensive loss as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Remeasurements of net defined benefit liabilities	₩ (10,197,503)	₩ (16,328,044)
Foreign currency translation	(1,037,503)	
Share of other comprehensive income of associates and joint ventures	<u>3,694,867</u>	<u>5,433,278</u>
	<u>₩ (7,540,139)</u>	<u>₩ (10,894,766)</u>

24. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Revenue:		
Product sales	₩ 1,102,593,262	₩ 648,374,697
Other sales	<u>62,183,612</u>	<u>53,217,163</u>
	<u>₩ 1,164,776,874</u>	<u>₩ 701,591,860</u>
Cost of revenue:		
Cost of product sales	₩ 630,273,049	₩ 371,796,917
Cost of other sales ¹	<u>118,427,714</u>	<u>137,787,508</u>
	<u>₩ 748,700,763</u>	<u>₩ 509,584,425</u>

¹ Cost of other sales includes loss on abnormal capacity and provision for valuation of inventories.

25. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2020 and 2019, are as follows:

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<i>(in thousands of Korean won)</i>		2020		2019
Salaries	₩	23,488,301	₩	17,638,698
Bonuses		10,605,654		6,629,303
Retirement benefits		3,295,690		2,060,464
Employee welfare		9,752,942		6,189,505
Depreciation		5,053,796		5,712,650
Amortization of intangible assets		3,949,575		3,539,125
Repairs and maintenance		2,487,871		475,603
Supplies expenses		2,555,346		1,429,424
Utility expenses		247,178		227,280
Research and development expenses		5,105,829		-
Travel expenses		244,601		1,577,942
Service fees		28,661,783		28,300,374
Training expenses		7,352,182		6,666,629
Electronic processing expenses		2,963,001		2,109,119
Taxes and dues		1,789,423		1,659,938
Insurance premium		4,115,804		3,574,292
Advertising expenses		4,396,241		6,480,625
Others		7,224,339		5,994,076
	₩	<u>123,289,556</u>	₩	<u>100,265,047</u>

26. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>		2020		2019
Changes in work-in-process and finished goods	₩	(21,030,429)	₩	(108,799,281)
Changes in costs to fulfill a contract		(36,860,555)		(54,103,717)
Raw materials and supplies used		261,897,554		175,625,799
Employee benefits		286,337,276		232,214,318
Depreciation and amortization		138,035,577		128,526,523
Supplies expenses		65,761,320		56,664,072
Utility expenses		30,976,568		31,152,625
Service fees		56,399,507		52,063,213
Others		90,473,500		96,505,921
Total cost of sales, and selling, general and administrative expenses	₩	<u>871,990,320</u>	₩	<u>609,849,473</u>

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27. Other Income and Expenses

Details of other income for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Rental revenues	₩ 2,000,444	₩ 1,367,525
Fees revenues	187,901	139,790
Gain on disposal of property, plant and equipment	30,986	520
Gain on lease cancellation	125	117
Miscellaneous gains	349,331	2,495,535
	<u>₩ 2,568,787</u>	<u>₩ 4,003,487</u>

Details of other expenses for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Donations	₩ 240,580	₩ 1,000
Loss on disposal of property, plant and equipment	4,118	312,537
Loss on disposal of intangible assets	-	197,567
Loss on retirement of property, plant and equipment	1,391,319	296,625
Loss on retirement of intangible assets	476,757	-
Impairment loss on intangible assets	1,352,350	359,600
Miscellaneous losses	25,262	941,452
	<u>₩ 3,490,386</u>	<u>₩ 2,108,781</u>

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28. Finance Income and Costs

Details of finance income for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
Interest income	₩	13,140,465	₩	17,246,464
Gain on valuation of financial assets at fair value through profit or loss		185,480		45,759
Gain on disposal of financial assets at fair value through profit or loss		118,475		361,459
Gain on valuation of derivative assets		-		1,193,321
Gain on foreign currency translations		4,344,394		143,426
Gain on foreign currency transactions		<u>14,985,721</u>		<u>8,550,315</u>
	₩	<u>32,774,535</u>	₩	<u>27,540,744</u>

Details of finance costs for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
Interest expenses	₩	16,085,623	₩	25,614,722
Loss on valuation of derivative liabilities		2,268,002		-
Loss on foreign currency translations		7,367,178		7,436,127
Loss on foreign currency transactions		<u>15,158,830</u>		<u>5,631,794</u>
	₩	<u>40,879,633</u>	₩	<u>38,682,643</u>

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29. Income Tax Expense (Benefit)

Income tax expense (benefit) for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Current income tax expense:		
Current income tax	₩ 49,516,212	₩ 15,377,052
Adjustments	(683,475)	(38,759)
Deferred tax expense:		
Temporary differences	(20,697,474)	(63,997,415)
Income taxes recognized directly in equity	(3,117,900)	1,190,332
Income tax expense (benefit)	<u>₩ 25,017,363</u>	<u>₩ (47,468,790)</u>

The relationship between tax expense (benefit) and accounting profit for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Profit before income tax	₩ 265,992,163	₩ 155,435,309
Income taxes at statutory tax rate	64,370,103	37,615,345
Adjustments:		
Non-deductible expense	181,176	260,810
Changes in unrecognized deferred tax assets	(33,339,136)	(82,596,726)
Tax credit carryforward	(3,749,832)	(2,201,242)
Others	(2,444,948)	(546,977)
Income tax expense (benefit)	<u>₩ 25,017,363</u>	<u>₩ (47,468,790)</u>
Average effective tax rate ¹	9.41%	-

¹ The effective tax rate for the year ended December 31, 2019, has not been calculated since the effective tax rate is negative.

Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020			2019		
	Before tax	Tax expense	Net of tax	Before tax	Tax expense	Net of tax
Defined benefit plan						
remeasurements	₩ 8,087,786	₩ (1,957,244)	₩ 6,130,542	₩ (4,997,122)	₩ 1,209,304	₩ (3,787,818)
Equity adjustments arising from investments in associates and joint ventures ¹	(535,434)	129,575	(405,859)	(112,014)	(18,972)	(130,986)
	<u>₩ 7,552,352</u>	<u>₩ (1,827,669)</u>	<u>₩ 5,724,683</u>	<u>₩ (5,109,136)</u>	<u>₩ 1,190,332</u>	<u>₩ (3,918,804)</u>

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¹ The Group recognized deferred tax assets which were not recognized in relation to the temporary differences from investments in associates and joint ventures during the prior year and recognized the tax effect amounting to ₩ (-)1,290,231 thousands of the cumulative amount of changes in deferred taxes that should be reflected directly in equity.

Changes in temporary differences and deferred tax assets (liabilities) as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020			
	January 1, 2020	Profit or loss	Other comprehensive income	December 31, 2020
Accrued expenses	₩ 6,801,661	₩ 591,899	₩ -	₩ 7,393,560
Net defined benefit obligations	3,464,720	(4,803,978)	(1,957,244)	(3,296,502)
Loss (gain) on foreign currency translations	2,150,598	(692,693)	-	1,457,905
Provision for loss on valuation of finished goods	1,865,978	(1,520,748)	-	345,230
Provision for loss on valuation of work-in-progress	1,300,093	(1,159,574)	-	140,519
Depreciation	2,836,041	(1,815,472)	-	1,020,569
Provision for performance bonus	5,380,492	1,575,310	-	6,955,802
Gain from assets contributed	696,975	-	-	696,975
Accrued income	(289,346)	159,080	-	(130,266)
Emission liability	134,033	(30,685)	-	103,348
Contract assets	(36,658,859)	(10,956,195)	-	(47,615,054)
Contract liabilities	35,121,281	12,581,003	-	47,702,284
Lease liabilities / Right-of-use assets	65,143	(350,553)	-	(285,410)
Impairment of intangible assets	89,626	-	-	89,626
Gains on valuation of derivative assets	(242,724)	548,857	-	306,133
Investments in associates and joint ventures	(516,153,449)	38,929,149	(1,160,656)	(478,384,956)
Tax loss carryforward	-	319,492	-	319,492
Tax credit carryforward	22,892,822	(9,559,518)	-	13,333,304
Deferred tax assets (liabilities)	₩ (470,544,915)	₩ 23,815,374	₩ (3,117,900)	₩ (449,847,441)

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	2019			
	January 1, 2019	Profit or loss	Other comprehensive income	December 31, 2019
Accrued expenses	₩ 5,167,300	₩ 1,634,361	₩ -	₩ 6,801,661
Net defined benefit obligations	2,994,582	(739,166)	1,209,304	3,464,720
Loss (gain) on foreign currency translations	185,205	1,965,393	-	2,150,598
Provision for loss on valuation of finished goods	1,559,171	306,807	-	1,865,978
Provision for loss on valuation of work-in-progress	102,777	1,197,316	-	1,300,093
Depreciation	2,895,795	(59,754)	-	2,836,041
Provision for performance bonus	4,312,416	1,068,076	-	5,380,492
Gain from assets contributed	-	696,975	-	696,975
Accrued income	(389,753)	100,407	-	(289,346)
Emission liability	361,544	(227,511)	-	134,033
Contract assets	(23,372,031)	(13,286,828)	-	(36,658,859)
Contract liabilities	24,467,360	10,653,921	-	35,121,281
Lease liabilities / Right-of-use assets	-	65,143	-	65,143
Impairment of intangible assets	2,603	87,023	-	89,626
Gain on valuation of derivative assets	46,060	(288,784)	-	(242,724)
Investments in associates and joint ventures	(581,125,775)	64,991,298	(18,972)	(516,153,449)
Tax credit carryforward	28,250,416	(5,357,594)	-	22,892,822
Deferred tax assets (liabilities)	₩ (534,542,330)	₩ 62,807,083	₩ 1,190,332	₩ (470,544,915)

The analysis of deferred tax assets and liabilities as at December 31, 2020 and 2019, is as follows:

(in thousands of Korean won)

	2020	2019
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 59,705,725	₩ 59,805,001
Deferred tax asset to be recovered within 12 months	20,159,021	22,994,461
	<u>79,864,746</u>	<u>82,799,462</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(524,293,770)	(547,775,718)
Deferred tax liability to be recovered within 12 months	(5,418,418)	(5,568,658)
	<u>(529,712,188)</u>	<u>(553,344,376)</u>
Deferred tax assets (liabilities), net	₩ (449,847,442)	₩ (470,544,914)

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Realization of the future tax benefits related to the deferred tax assets is dependent on various factors, including the Group's ability to generate taxable income within the period during which the temporary differences reverse, the outlook of the Korean economic environment, and the overall future industry outlook. Group periodically considers these factors in reaching its conclusion and recognizes deferred income tax assets based on the possibility of future realization.

During the year ended December 31, 2020, the Group recognized deferred tax assets of ₩ 33,339,136 thousand, which were not recognized in relation to the temporary differences from investments in associates during the prior year.

As at December 31, 2020, there are no deferred tax assets that the Group did not recognize.

30. Earnings per Share

Basic earnings per share for the years ended December 31, 2020 and 2019, is calculated as follows:

<i>(in Korean won)</i>	2020	2019
Profit for the year	₩ 240,974,799,963	₩ 202,904,099,088
Weighted-average number of ordinary shares outstanding ¹	<u>66,165,000</u>	<u>66,165,000</u>
Basic earnings per share	<u>₩ 3,642</u>	<u>₩ 3,067</u>

¹ There has been no change in weighted-average number of ordinary shares outstanding during for the years ended December 31, 2020 and 2019.

The Group has no dilutive potential shares; therefore, diluted earnings per share is equal to the basic earnings per share.

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31. Commitments and Contingencies

As at December 31, 2020, details of the Company's borrowings commitment with financial institutions are summarized as follows:

(in thousands of Korean won and in thousands of USD)

Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Woori Bank	Bank overdraft	KRW	10,000,000	KRW	-
	B2B PLUS	KRW	5,760,000	KRW	-
	General loan	KRW	30,000,000	KRW	-
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	200,000,000	KRW	50,000,000
Hana Bank	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	49,300,000	KRW	100,000
	Comprehensive limit	KRW	40,000,000	KRW	-
	General loan in foreign currency	USD	30,000	USD	30,000
Shinhan Bank	General loan	KRW	19,214,000	KRW	-
	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
Mizuho Bank	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	28,000,000	KRW	28,000,000
	Loans for equipment	KRW	100,000,000	KRW	100,000,000
	Loans for equipment	USD	10,000	USD	10,000
Sumitomo Mitsui Bank	General loan	KRW	30,000,000	KRW	30,000,000
	Overseas investment loans	USD	10,000	USD	10,000

As at December 31, 2020, details of guarantees provided by financial institutions are summarized as follows:

(in thousands of Korean won and in thousands of USD)

	Remarks	Currency	Limit	Currency	Outstanding balance
Woori Bank	Payment guarantees	KRW	9,500,000	KRW	2,931,891
Shinhan Bank	Letter of credit	USD	10,000	USD	-
	Foreign currency payment guarantee	USD	10,000	USD	-

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	Remarks	Currency	Limit	Currency	Outstanding balance
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000	KRW	-

If the Group does not comply with the commitments below, financial institutions may require an early redemption of long-term borrowings. Details of debt covenants related to long-term borrowings with financial institutions as at December 31, 2020, are as follows:

Financial institution	Remarks	Details of covenants
Sumitomo Mitsui Bank	Shareholder composition ratio	The ownership of the Samsung Group shall be over 50%, and Samsung C&T Corporation shall maintain its ownership in the Company in excess of 30%.
Mizuho Bank	Shareholder composition ratio	Samsung Group (Samsung C&T Corporation, Samsung Electronics) shall maintain ownership of the Company in excess of 60% (voting shares).

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the *Common Property Management Ordinance of Incheon*. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Company can renew the contract for another 30 years in successive 10 year increments.

(ii) Exemption requirement

The Company whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of *Common Property Management Ordinance of Incheon*. Afterwards, the Company, including foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

On April 29, 2019, a group of minority shareholders has launched a collective lawsuit against the Group, claiming ₩ 8,449 million of damages of investment losses due to accounting treatment for investments on Samsung Bioepis Co. Ltd. (Note 35) and the litigation is in progress.

Contractual obligation to purchase property, plant and equipment and intangible assets which are not incurred as at December 31, 2020 are ₩ 1,085,145 million, of which the amount committed with Samsung Engineering Co., Ltd., a related party is ₩ 719,658 million.

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32. Related Parties

As at December 31, 2020, Samsung C&T Corporation is a controlling company, and the percentage of ownership it has over the Group is 43.44%.

Details of related parties as at December 31, 2020, are as follows:

Relationship	Companies
Parent company	Samsung C&T Corporation
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.
Associates and Joint ventures	Samsung Bioepis Co., Ltd., Archigen Biotech Limited
Others	Samsung Welstory Inc., Samsung C&T Deutschland GmbH, Samsung Research America, Inc, Samsung Electronics Sales Co., Ltd.
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung Engineering Co., Ltd. S-1 Corporation, Samsung SDS Co., Ltd., Samsung Economic Research Institute, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, S-Core Co., Ltd, and others

¹ Although the entities are not the related party of the Group in accordance with Korean IFRS 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

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Outstanding balances with related parties as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)	2020					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
Parent company						
Samsung C&T Corporation	₩	-	₩	-	₩	-
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.		-		-	5,718,642	-
Associates and joint ventures						
Samsung Bioepis Co., Ltd.	65,579,967	101,879	16,592	-	50,840,048	44,996,980
Archigen Biotech Limited	-	-	1,748	-	-	-
Others						
Samsung Welstory Inc.	-	3,635	-	858,406	-	-
Samsung Research America, Inc.	-	-	-	91,517	-	-
The Enterprise Group						
Samsung Card Co., Ltd.	-	37,500	-	198,479	-	-
Samsung Engineering CO.,LTD				3,190,799		
S-1 Corporation	-	-	-	3,104,346	-	-
Samsung SDS Co., Ltd.	-	-	-	2,663,997	-	-
Samsung Economic Research Institute	-	-	-	350,928	-	-
Samsung Fire & Marine Insurance Co., Ltd.	-	402	-	3,926	-	-
Cheil Worldwide Inc	-	-		651,369		
Others ¹	-	-	-	146,203	-	-
	<u>₩65,579,967</u>	<u>₩ 143,416</u>	<u>₩ 18,340</u>	<u>₩ 17,038,268</u>	<u>₩50,840,048</u>	<u>₩44,996,980</u>

¹ Transactions with Multicampus Corporation and Hotel Shilla Co., Ltd. were included.

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Korean won)

	2019									
	Receivables					Payables				
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities				
Entity with significant influence over the Group										
Samsung Electronics Co., Ltd.	₩ -	₩ -	₩ -	₩ 3,148,703	₩ -	₩ -				
Associates and joint ventures										
Samsung Bioepis Co., Ltd.	98,332,044	154,500	575,929	490,119	40,812,620	36,238,155				
Archigen Biotech Limited	-	-	177,480	-	-	-				
Others										
Samsung Welstory Inc.	-	3,484	-	765,000	-	-				
Samsung C&T Deutschland GmbH	-	-	-	28,266	-	-				
Samsung Research America, Inc.	-	-	-	90,675	-	-				
The Enterprise Group										
Samsung Card Co., Ltd.	-	29,418	-	624,811	-	-				
S-1 Corporation	-	-	-	2,684,430	-	-				
Samsung SDS Co., Ltd.	-	-	-	1,324,628	-	-				
Samsung Economic Research Institute	-	-	-	78,816	-	-				
Samsung Fire & Marine Insurance Co., Ltd.	-	54	-	3,687	-	-				
Others ¹	-	-	-	253,171	-	-				
	<u>₩98,332,044</u>	<u>₩ 187,456</u>	<u>₩ 753,409</u>	<u>₩ 9,492,306</u>	<u>₩40,812,620</u>	<u>₩36,238,155</u>				

¹ Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., Cheil Worldwide Inc. and SBTM Corporation are included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent company					
Samsung C&T Corporation	₩	-	₩	-	₩ 19,750
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-	4,891,487	-	-
Associates and joint ventures					
Samsung Bioepis Co., Ltd.	259,056,971	2,551,162	-	-	-
Archigen Biotech Limited	-	148,458	-	-	-
Others					
Samsung Welstory Inc.	-	39,109	-	9,323,126	-
Samsung Electronics Sales Co., Ltd.	-	3,600	-	32,072	-
Samsung C&T Deutschland GmbH	-	-	-	1,177,742	-
Samsung Research America, Inc.	-	-	1,109,358	-	-
The Enterprise Group					
Samsung Card Co., Ltd.	-	13,183	-	432,069	-
Samsung Engineering CO.,LTD					2,900,726
S-1 Corporation	-	-	16,792,630	1,312,406	262,299
Samsung SDS Co., Ltd.	-	4,433	-	14,210,407	2,354,212
Samsung Economic Research Institute	-	-	225,000	1,361,594	-
Samsung Fire & Marine Insurance Co., Ltd. ¹	-	763,753	3,041	5,219,534	-
Samsung Life Insurance Co., Ltd. ¹	-	215,808	-	51,532	-
Samsung Securities Co., Ltd. ¹	-	235,516	48,272	-	-
Cheil Worldwide Inc.	-	-	-	852,154	-
SBTM Corporation	-	-	3,839	18,218	-
Others ²	-	-	129,508	1,079,268	-
	<u>₩ 259,056,971</u>	<u>₩ 3,975,022</u>	<u>₩ 23,674,303</u>	<u>₩ 35,220,122</u>	<u>₩ 5,536,987</u>

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As at December 31, 2020, the Group deposited ₩ 42,670 million (2019: ₩ 27,888 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 23,851 million (2019: ₩ 12,427 million) in Samsung Life Insurance Co., Ltd., and ₩ 25,772 million (2019: ₩ 12,445 million) in Samsung Securities Co., Ltd., as plan assets.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., S-Core Co.,Ltd were included.

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(in thousands of Korean won)

	2019								
	Revenue				Expenses				Asset acquisition
	Revenue		Others		Service fees		Others		
Parent company									
Samsung C&T Corporation	₩	-	₩	-	₩	301,716	₩	150,000	₩ -
Entity with significant influence over the Company									
Samsung Electronics Co., Ltd.		-		-		-		2,920,609	-
Associates and joint ventures									
Samsung Bioepis Co., Ltd. ¹	183,125,111		1,426,113			-		499,686	20,163,000
Archigen Biotech Limited		-		614,999		-		-	-
Others									
Samsung Welstory Inc.		-		34,365		-		8,408,532	-
Samsung Electronics Sales Co., Ltd.		-		3,600		-		18,020	-
Samsung C&T Deutschland GmbH		-		-		-		1,015,612	-
Samsung Research America, Inc.		-		-		1,318,229		-	-
The Enterprise Group									
Samsung Card Co., Ltd.		-		21,312		-		317,249	-
S-1 Corporation		-		-		12,960,138		2,160,667	1,631,122
Samsung SDS Co., Ltd.		-		2,666		516,092		12,680,064	2,156,950
Samsung Economic Research Institute		-		-		180,000		1,586,878	-
Samsung Fire & Marine Insurance Co., Ltd. ²		-		2,545,322		2,858		4,173,889	-
Samsung Life Insurance Co., Ltd. ²		-		143,959		-		36,641	-
Samsung Securities Co., Ltd. ²		-		136,152		27,849		-	-
Cheil Worldwide Inc.		-		-		-		158,337	-
SBTM Corporation		-		-		5,815		18,825	-
Others ³		-		-		17,674		1,014,566	-
	₩183,125,111	₩	4,928,488	₩	15,330,371	₩	35,159,575	₩	23,951,072

¹ Acquired assets are leased to Samsung Bioepis Co., Ltd (Note 14).

² Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

³ Transactions with Multicampus Corporation and Hotel Shilla Co., Ltd. were included.

The compensation paid or payable to key management for employee services for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)	2020	2019
Short-term employee benefits	₩ 3,466,362	₩ 2,128,248
Long-term employee benefits	1,447,705	817,450
Retirement benefits	449,980	364,914

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₩	5,364,047	₩	3,310,612
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Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	Companies	2020	2019	Description
Associates and joint ventures	Archigen Biotech Limited	₩ -	₩ 18,101,000	Equity contribution in cash
Loans to employees		300,000	-	Loan

33. Statements of Cash Flows

Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	₩ 46,113,985	₩ 15,158,486
Transfer construction-in-progress to property, plant and equipment and intangible assets	102,687,939	129,520,360
Increase in right-of-use assets and lease liabilities	13,693,769	1,757,437

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Changes in liabilities arising from financial activities for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020							
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total	
At January 1, 2020	₩ -	₩ 189,755,125	₩ 150,000,000	₩ 251,650,000	₩ 46,412,000	₩ 15,889,283	₩ 653,706,408	
Changes arising from financial activities:								
Proceeds from borrowing liabilities	-	-	30,000,000	-	499,952,000	-	529,952,000	
Repayment of borrowing liabilities	-	-	(150,000,000)	(251,650,000)	-	-	(401,650,000)	
Payment of lease	-	-	-	-	-	(5,741,882)	(5,741,882)	
Others:								
Reclassification to current portion	149,866,414	(149,866,414)	-	11,678,000	(11,678,000)	-	-	
Effects of exchange rate changes on cash and cash equivalents	-	-	-	(698,000)	(3,166,000)	-	(3,864,000)	
Amortization of discount on debentures	61,045	42,188	-	-	-	-	103,233	
Changes in lease	-	-	-	-	-	12,399,629	12,399,629	
Gain on lease cancellation	-	-	-	-	-	(125)	(125)	
At December 31, 2020	₩ 149,927,459	₩ 39,930,899	₩ 30,000,000	₩ 10,980,000	₩ 531,520,000	₩ 22,546,905	₩ 784,905,263	

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	2019						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2019	₩ 50,000,000	₩ 189,638,752	₩ 90,000,000	₩ 246,583,355	₩ 296,474,000	₩ 17,777,338	₩ 890,473,445
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	150,000,000	-	-	-	150,000,000
Repayment of borrowing liabilities	-	-	(90,000,000)	(246,583,355)	-	-	(336,583,355)
Repayment of debentures issued	(50,000,000)	-	-	-	-	-	(50,000,000)
Payment of lease	-	-	-	-	-	(3,222,220)	(3,222,220)
Others:							
Reclassification to current portion	-	-	-	251,650,000	(251,650,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	-	-	1,588,000	-	1,588,000
Amortization of discount on debentures	-	116,373	-	-	-	-	116,373
Changes in lease	-	-	-	-	-	1,334,282	1,334,282
Gain on lease cancellation	-	-	-	-	-	(117)	(117)
At December 31, 2019	₩ -	₩ 189,755,125	₩ 150,000,000	₩ 251,650,000	₩ 46,412,000	₩ 15,889,283	₩ 653,706,408

34. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

(a) Financial risk management

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all

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employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

(b) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020		2019	
Cash and cash equivalents ¹	₩	28,850,121	₩	125,100,653
Short-term financial instruments		300,000,000		320,000,000
Loans		700,000		400,000
Financial assets at fair value through profit or loss		500,046,403		210,040,293
Long-term financial instruments		174,483		7,000
Trade and other receivables		246,603,866		187,118,116
Derivative assets		-		1,002,990
Deposits provided		46,039,821		42,877,973
	₩	<u>1,122,414,694</u>	₩	<u>886,547,025</u>

¹ Cash on hand held by the Group is excluded.

(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as at December 31, 2020 and 2019, including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur

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significantly earlier or at different amounts.

(in thousands of Korean won)	2020					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 148,932,588	₩ 148,932,588	₩ 144,261,210	₩ 4,671,378	₩ -	-
Lease liabilities	22,546,904	24,017,909	7,144,259	1,861,321	9,211,129	₩ 5,801,200
Debentures	189,858,358	194,767,095	152,901,425	1,412,800	40,452,870	-
Short-term borrowings	30,000,000	30,027,847	30,027,847	-	-	-
Long-term borrowings	542,500,000	568,396,305	20,892,480	118,209,699	429,294,126	-
	<u>₩ 933,837,850</u>	<u>₩ 966,141,744</u>	<u>₩ 355,227,221</u>	<u>₩ 126,155,198</u>	<u>₩ 478,958,125</u>	<u>₩ 5,801,200</u>

(in thousands of Korean won)	2019					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 73,018,783	₩ 73,018,783	₩ 68,251,491	₩ 4,767,292	₩ -	₩ -
Lease liabilities	15,889,284	17,330,666	3,756,506	3,539,260	3,292,400	6,742,500
Debentures	189,755,125	200,840,489	6,073,394	152,901,425	1,412,800	40,452,870
Short-term borrowings	150,000,000	152,654,775	152,654,775	-	-	-
Long-term borrowings	298,062,000	307,852,511	258,340,729	13,006,681	1,252,814	35,252,287
	<u>₩ 726,725,192</u>	<u>₩ 751,697,224</u>	<u>₩ 489,076,895</u>	<u>₩ 174,214,658</u>	<u>₩ 5,958,014</u>	<u>₩ 82,447,657</u>

(d) *Currency risk*

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) *Exposure to currency risk*

The Group's exposure to foreign currency risk as at December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)	2020				
	USD	EUR	CHF	JPY	GBP
Assets:					
Cash equivalents	₩ 10,880,000	₩ -	₩ -	₩ -	₩ -
Trade and other receivables	233,514,513	88,408	-	-	89,344
Contract assets	<u>11,814,842</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	<u>256,209,355</u>	<u>88,408</u>	<u>-</u>	<u>-</u>	<u>89,344</u>
Liabilities:					
Borrowings ¹	21,760,000	-	-	-	-
Trade and other payables	<u>35,663,842</u>	<u>175,310</u>	<u>308</u>	<u>4,450,768</u>	<u>60,290</u>

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	57,423,842	175,310	308	4,450,768	60,290
	₩ 198,785,513	₩ (86,902)	₩ (308)	₩ (4,450,768)	₩ 29,054
(in thousands of Korean won)					
	2019				
	USD	EUR	CHF	JPY	GBP
Assets:					
Cash equivalents	₩ 115,780,000	₩ -	₩ -	₩ -	₩ -
Trade and other receivables	180,179,596	12,171	-	-	132,990
Contract assets	1,630,646	-	-	-	-
	297,590,242	12,171	-	-	132,990
Liabilities:					
Borrowings ¹	11,578,000	-	-	-	-
Trade and other payables	2,347,447	229,693	22,530	2,324	105,546
	13,925,447	229,693	22,530	2,324	105,546
	₩ 283,664,795	₩ (217,522)	₩ (22,530)	₩ (2,324)	₩ 27,444

¹ Foreign currency borrowings with a foreign currency swap are excluded as they are not exposed to currency risk.

(ii) The significant exchange rates applied for the years ended December 31, 2020 and 2019, are as follows:

(in Korean won)		2020		2019	
		Average rate	December 31, 2020	Average rate	December 31, 2019
USD	₩	1,180.05	₩ 1,088.00	₩ 1,165.65	₩ 1,157.80
EUR		1,345.99	1,338.24	1,304.81	1,297.43
CHF		1,257.34	1,234.33	1,173.43	1,195.52
JPY(100 ¥)		1,105.07	1,054.26	1,069.76	1,063.47
GBP		1,513.05	1,482.40	1,487.83	1,518.69

(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

(in thousands of Korean won)		2020		2019	
		10% increase	10% decrease	10% increase	10% decrease
USD	₩	19,878,551	₩ (19,878,551)	₩ 28,366,479	₩ (28,366,479)
EUR		(8,690)	8,690	(21,752)	21,752
CHF		(31)	31	(2,253)	2,253

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JPY	(445,077)	445,077	(232)	232
GBP	2,905	(2,905)	2,744	(2,744)
	<u>₩ 19,427,658</u>	<u>₩ (19,427,658)</u>	<u>₩ 28,344,986</u>	<u>₩ (28,344,986)</u>

(e) Interest rate risk

The Group is exposed to interest rate risk because they raised funds with interests paid at variable rate. The effects of changes in interest rates by 0.5% applied to the interest expense for the years ended December 31, 2020 and 2019, are as follows:

(in thousands of Korean won)

	2020		2019	
	0.5% increase	0.5% decrease	0.5% increase	0.5% decrease
Interest expense	₩ (306,020)	₩ 306,020	₩ (1,201,400)	₩ 1,201,400

(f) Capital management

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at December 31, 2020 and 2019, are as follows:

<i>(in thousands of Korean won)</i>	2020	2019
Total liabilities (A)	₩ 1,825,417,993	₩ 1,557,172,767
Total equity (B)	4,598,783,172	4,354,453,745
Debt-to-equity ratio (A/B)	39.69%	35.76%

35. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission ("SFC") imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company's Financial Statements from 2012 to 2015 regarding the Company's joint venture agreement with Biogen Therapeutics Inc. The measures ("First measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company's executives in charge; and iii) prosecution against the Company and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012

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to 2018. The measures ("Second measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company's representative director (CEO) and executives in charge; iii) referral of the case against the Company and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of ₩ 8 billion on November 21, 2018.

In order to demonstrate the legitimacy of the Company's accounting, the Company submitted requests for cancellation of the First measures on October 8, 2018 and the Second measures on November 27, 2018 to the Seoul Administrative Court (the "Court"). As at the reporting date, the lawsuits seeking the cancellation of the First and Second measures are in progress. On September 24, 2020, the Court ruled to cancel the First measures imposed to the Company by SFC and decided to suspend the First measures until the decision of the appeal trial is made. The SFC appealed the Court's first trial on October 16, 2020 and the litigation is currently in progress at the Seoul High Court.

In addition, the Company submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on September 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the financial statements for 2012 and the subsequent reporting periods could potentially be restated.

With respect to this matter, the investigation by the Seoul Central Prosecutors Office against the Company's CEO and CFO for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act was carried out. In 2020, the Company's CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

Meanwhile, on December 9, 2019, employees of the Company and Company's affiliate who were arrested on suspicion of evidence destruction, were found guilty of violating the Act on External Audit of Stock companies and Criminal Act in the first ruling of the Seoul Central District Court. All the employees of the Company's affiliates appealed the ruling above, and the employee of the Company who abandoned his or her appeal received suspended sentences for the destruction of evidence.

If the Company's consolidated financial statements are restated in accordance with the SFC's measures, the investment in associates and joint ventures, deferred tax liabilities (net), and the capital/retained earnings accounts as at December 31, 2020 would be decreased by ₩ 2,351,086 million, ₩ 568,963 million, ₩ 1,782,123 million respectively while the share of loss of associates

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and joint ventures for the year ended December 31, 2020 would be decreased by ₩ 18,638 million, mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015. As a result of this potential restatement, the total comprehensive income for the year ended December 31, 2020 would be increased by ₩ 14,127 million.

(a) Impact on Financial Position

If the Group loses the administrative litigation, it shall restate the statements of financial position (consolidated statements of financial position from 2012 to 2014) as indicated by the Securities and Futures Commission and its impact would be as follows.

(i) As at December 31, 2020 and 2019

(in thousands of Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,751,347,248	₩ -	₩1,751,347,248	₩1,356,261,664	₩ -	₩1,356,261,664
Non-current assets	4,672,853,916	(2,231,970,559)	2,440,883,357	4,555,364,848	(2,266,795,380)	2,288,569,468
Investments in associates and joint ventures	2,634,428,494	(2,351,085,909)	283,342,585	2,652,731,622	(2,369,723,569)	283,008,053
Deferred tax assets	-	119,115,350	119,115,350	-	102,928,189	102,928,189
Total assets	<u>₩6,424,201,164</u>	<u>₩ (2,231,970,559)</u>	<u>₩4,192,230,605</u>	<u>₩5,911,626,512</u>	<u>₩ (2,266,795,380)</u>	<u>₩3,644,831,132</u>
Liabilities						
Current liabilities	₩ 589,300,919	₩ -	₩ 589,300,919	₩ 690,505,243	₩ -	₩ 690,505,243
Current tax liabilities	23,259,655	-	23,259,655	12,857,398	-	12,857,398
Non-current liabilities	1,236,117,073	(449,847,440)	786,269,633	866,667,524	(470,544,915)	396,122,609
Deferred tax liabilities	449,847,440	(449,847,440)	-	470,544,915	(470,544,915)	-
Total liabilities	<u>1,825,417,992</u>	<u>(449,847,440)</u>	<u>1,375,570,552</u>	<u>1,557,172,767</u>	<u>(470,544,915)</u>	<u>1,086,627,852</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(7,540,139)	(1,738,979)	(9,279,118)	(10,894,766)	(1,738,979)	(12,633,745)
Retained earnings	1,953,597,729	(1,789,697,909)	163,899,820	1,712,622,929	(1,803,825,254)	(91,202,325)
Total equity	<u>4,598,783,172</u>	<u>(1,782,123,119)</u>	<u>2,816,660,053</u>	<u>4,354,453,745</u>	<u>(1,796,250,465)</u>	<u>2,558,203,280</u>
Total liabilities and equity	<u>₩6,424,201,164</u>	<u>₩ (2,231,970,559)</u>	<u>₩4,192,230,605</u>	<u>₩5,911,626,512</u>	<u>₩ (2,266,795,380)</u>	<u>₩3,644,831,132</u>

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(ii) As at December 31, 2018 and 2017

(in thousands of Korean won)

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,577,683,716	₩ -	₩1,577,683,716	₩ 620,995,135	₩ -	₩ 620,995,135
Non-current assets	4,402,724,932	(2,341,121,903)	2,061,603,029	6,562,096,027	(3,913,984,446)	2,648,111,581
Investments in associates and joint ventures	2,561,802,520	(2,387,705,348)	174,097,172	5,008,234,005	(4,503,664,434)	504,569,571
Deferred tax assets	-	46,583,445	46,583,445	-	589,679,987	589,679,987
Total assets	<u>₩5,980,408,648</u>	<u>₩ (2,341,121,903)</u>	<u>3,639,286,745</u>	<u>₩7,183,091,162</u>	<u>₩ (3,913,984,446)</u>	<u>₩3,269,106,716</u>
Liabilities						
Current liabilities	₩ 710,529,787	₩ (38,759)	₩ 710,491,028	₩2,287,442,106	₩ -	₩2,287,442,106
Derivative liabilities	39,623,718	(38,759)	39,584,959	1,933,562,427	-	1,933,562,427
Non-current liabilities	1,114,410,410	(534,542,329)	579,868,081	919,198,164	(505,315,891)	413,882,273
Deferred tax liabilities	534,542,330	(534,542,330)	-	505,315,891	(505,315,891)	-
Total liabilities	<u>1,824,940,197</u>	<u>(534,581,088)</u>	<u>1,290,359,109</u>	<u>3,206,640,270</u>	<u>(505,315,891)</u>	<u>2,701,324,379</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(6,975,961)	(1,738,979)	(8,714,940)	(4,009,447)	(3,780,868)	(7,790,315)
Retained earnings	1,509,718,830	(1,814,115,605)	(304,396,775)	1,327,734,757	(3,414,201,456)	(2,086,466,699)
Total equity	<u>4,155,468,451</u>	<u>(1,806,540,815)</u>	<u>2,348,927,636</u>	<u>3,976,450,892</u>	<u>(3,408,668,555)</u>	<u>567,782,337</u>
Total liabilities and equity	<u>₩5,980,408,648</u>	<u>₩ (2,341,121,903)</u>	<u>₩3,639,286,745</u>	<u>₩7,183,091,162</u>	<u>₩ (3,913,984,446)</u>	<u>₩3,269,106,716</u>

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(iii) As at December 31, 2016 and 2015

(in thousands of Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,461,425,176	₩ -	₩1,461,425,176	₩ 192,853,895	₩ -	₩ 192,853,895
Non-current assets	6,071,590,930	(3,947,716,748)	2,123,874,182	5,767,639,821	(3,982,608,742)	1,785,031,079
Investments in associates and joint ventures	4,944,356,290	(4,519,128,821)	425,227,469	4,837,539,390	(4,533,780,087)	303,759,303
Deferred tax assets	-	571,412,073	571,412,073	-	551,171,345	551,171,345
Total assets	<u>₩7,533,016,106</u>	<u>₩ (3,947,716,748)</u>	<u>₩3,585,299,358</u>	<u>₩5,960,493,716</u>	<u>₩ (3,982,608,742)</u>	<u>₩1,977,884,974</u>
Liabilities						
Current liabilities	₩2,476,545,193	₩ -	₩2,476,545,193	₩1,911,669,204	₩ -	₩1,911,669,204
Derivative liabilities	1,874,470,943	-	1,874,470,943	1,820,439,050	-	1,820,439,050
Non-current liabilities	974,091,453	(526,670,614)	447,420,839	1,273,990,355	(581,574,424)	692,415,931
Deferred tax liabilities	526,670,614	(526,670,614)	-	581,574,424	(581,574,424)	-
Total liabilities	<u>3,450,636,646</u>	<u>(526,670,614)</u>	<u>2,923,966,032</u>	<u>3,185,659,559</u>	<u>(581,574,424)</u>	<u>2,604,085,135</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	1,030,620,605	9,313,769	1,039,934,374
Accumulated other comprehensive loss	4,947,005	(3,948,258)	998,747	4,839,666	(3,778,548)	1,061,118
Retained earnings	1,424,706,873	(3,426,411,645)	(2,001,704,772)	1,601,530,283	(3,406,569,538)	(1,805,039,255)
Total equity	<u>4,082,379,460</u>	<u>(3,421,046,134)</u>	<u>661,333,326</u>	<u>2,774,834,157</u>	<u>(3,401,034,318)</u>	<u>(626,200,161)</u>
Total liabilities and equity	<u>₩7,533,016,106</u>	<u>₩ (3,947,716,748)</u>	<u>₩3,585,299,358</u>	<u>₩5,960,493,716</u>	<u>₩ (3,982,608,742)</u>	<u>₩1,977,884,974</u>

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(iv) As at December 31, 2014 and 2013

(in thousands of Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 216,838,130	₩ (106,686,799)	₩ 110,151,331	₩ 156,395,179	₩ (112,364,693)	₩ 44,030,486
Non-current assets	1,138,859,825	(57,023,021)	1,081,836,804	503,166,162	16,598,535	519,764,697
Investments in associates and joint ventures	53,921,974	311,196,041	365,118,015	-	166,631,898	166,631,898
Total assets	<u>₩1,355,697,955</u>	<u>₩ (163,709,820)</u>	<u>₩1,191,988,135</u>	<u>₩ 659,561,341</u>	<u>₩ (95,766,158)</u>	<u>₩ 563,795,183</u>
Liabilities						
Current liabilities	₩ 236,793,886	₩ (86,282,991)	₩ 150,510,895	₩ 169,229,512	₩ (40,234,504)	₩ 128,995,008
Non-current liabilities	488,171,822	(52,359,864)	435,811,958	105,868,478	(26,406,024)	79,462,454
Total liabilities	<u>724,965,708</u>	<u>(138,642,855)</u>	<u>586,322,853</u>	<u>275,097,990</u>	<u>(66,640,528)</u>	<u>208,457,462</u>
Equity						
Share premium	801,800,313	7,117,379	808,917,692	516,719,342	-	516,719,342
Accumulated other comprehensive loss	9,170,941	(203,819)	8,967,122	(2,341,862)	(136,268)	(2,478,130)
Retained earnings	(314,664,171)	611,394	(314,052,777)	(218,754,883)	416,268	(218,338,615)
Non-controlling interest	32,591,919	(32,591,919)	-	29,405,629	(29,405,629)	-
Total equity	<u>630,732,247</u>	<u>(25,066,965)</u>	<u>605,665,282</u>	<u>384,463,351</u>	<u>(29,125,630)</u>	<u>355,337,721</u>
Total liabilities and equity	<u>₩1,355,697,955</u>	<u>₩ (163,709,820)</u>	<u>₩1,191,988,135</u>	<u>₩ 659,561,341</u>	<u>₩ (95,766,158)</u>	<u>₩ 563,795,183</u>

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(v) As at December 31, 2012

(in thousands of Korean won)

	2012		
	Before restatement	Adjustment	After restatement
Assets			
Current assets	₩ 217,858,628	₩ (141,513,019)	₩ 76,345,609
Non-current assets	344,486,626	77,518,098	422,004,724
Investments in associates and joint ventures	-	163,615,991	163,615,991
Total assets	<u>₩ 562,345,254</u>	<u>₩ (63,994,921)</u>	<u>₩ 498,350,333</u>
Liabilities			
Current liabilities	₩ 107,516,998	₩ (34,243,680)	₩ 73,273,318
Non-current liabilities	6,366,172	(1,059,834)	5,306,338
Total liabilities	<u>113,883,170</u>	<u>(35,303,514)</u>	<u>78,579,656</u>
Equity			
Share premium	452,386,129	-	452,386,129
Accumulated other comprehensive loss	(990,977)	(97,997)	(1,088,974)
Retained earnings	(83,168,967)	280,000	(82,888,967)
Non-controlling interest	28,873,410	(28,873,410)	-
Total equity	<u>448,462,084</u>	<u>(28,691,407)</u>	<u>419,770,677</u>
Total liabilities and equity	<u>₩ 562,345,254</u>	<u>₩ (63,994,921)</u>	<u>₩ 498,350,333</u>

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(b) Impact on Financial Performance

If the Company loses the administrative litigation, it shall restate the statements of comprehensive income (consolidated statements of comprehensive income from 2012 to 2014) as indicated by the Securities and Futures Commission and its impact would be as follows.

(i) For the years ended December 31, 2020 and 2019

(in thousands of Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩1,164,776,874	₩ -	₩1,164,776,874	₩ 701,591,860	₩ -	₩ 701,591,860
Cost of revenue	(748,700,763)	-	(748,700,763)	(509,584,425)	-	(509,584,425)
Gross profit	416,076,111	-	416,076,111	192,007,435	-	192,007,435
Operating profit	292,786,554	-	292,786,554	91,742,387	-	91,742,387
Equity gain (loss) on investments in associates and joint ventures	(17,767,694)	18,637,659	869,965	72,940,116	17,981,780	90,921,896
Net profit before Income tax	265,992,163	18,637,659	284,629,822	155,435,309	17,981,780	173,417,089
Income tax expenses (benefit)	25,017,363	4,510,313	29,527,676	(47,468,790)	7,691,429	(39,777,361)
Net profit for the year	240,974,800	14,127,346	255,102,146	202,904,099	10,290,351	213,194,450
Other comprehensive income (loss)	3,354,627	-	3,354,627	(3,918,805)	-	(3,918,805)
Total comprehensive income for the year	₩ 244,329,427	₩ 14,127,346	258,456,773	₩ 198,985,294	₩ 10,290,351	₩ 209,275,645

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(ii) For the years ended December 31, 2018 and 2017

(in thousands of Korean won)

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 535,805,801	₩ -	₩ 535,805,801	₩ 464,629,334	₩ -	₩ 464,629,334
Cost of revenue	(390,645,859)	-	(390,645,859)	(332,829,273)	-	(332,829,273)
Gross profit	145,159,942	-	145,159,942	131,800,061	-	131,800,061
Operating profit	55,678,745	-	55,678,745	65,979,402	-	65,979,402
Equity gain (loss) on investments in associates and joint ventures	(129,337,333)	(3,364,228)	(132,701,561)	(129,602,338)	15,464,387	(114,137,951)
Earnings from disposal of investments in associates and joint ventures	389,213,672	2,119,447,933	2,508,661,605	-	-	-
Losses on valuation of derivatives	-	-	-	(59,091,484)	-	(59,091,484)
Net profit (loss) before Income tax	302,975,837	2,116,083,704	2,419,059,541	(115,994,753)	15,464,387	(100,530,366)
Income tax expenses (benefit)	78,866,642	513,831,346	592,697,988	(19,022,637)	3,254,198	(15,768,439)
Net profit (loss) for the year	224,109,195	1,602,252,358	1,826,361,553	(96,972,116)	12,210,189	(84,761,927)
Other comprehensive income (loss)	(2,966,514)	(274,831)	(3,241,345)	(8,956,451)	167,389	(8,789,062)
Total comprehensive income (loss) for the year	₩ 221,142,681	₩1,601,977,527	₩1,823,120,208	₩ (105,928,567)	₩ 12,377,578	₩ (93,550,989)

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(iii) For the years ended December 31, 2016 and 2015

(in thousands of Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 294,622,021	₩ -	₩ 294,622,021	₩ 91,278,029	₩ (23,901,796)	₩ 67,376,233
Cost of revenue	(268,088,358)	-	(268,088,358)	(114,784,617)	48,453,429	(66,331,188)
Gross profit (loss)	26,533,663	-	26,533,663	(23,506,588)	24,551,633	1,045,045
Operating profit (loss)	(30,422,639)	-	(30,422,639)	(203,642,444)	160,536,379	(43,106,065)
Equity gain (loss) on investments in associates and joint ventures	(129,222,650)	14,651,266	(114,571,384)	(19,395,735)	(151,241,000)	(170,636,735)
Earnings (losses) from disposal of investment equity in subsidiary	-	-	-	4,543,610,535	(4,543,610,535)	-
Losses on valuation of derivatives	(54,031,894)	-	(54,031,894)	(1,820,439,050)	-	(1,820,439,050)
Net profit (loss) before Income tax	(230,900,983)	14,651,266	(216,249,717)	2,488,062,610	(4,528,216,321)	(2,040,153,711)
Income tax expenses (benefit)	(54,077,574)	34,493,373	(19,584,201)	583,116,693	(1,132,283,925)	(549,167,232)
Net profit (loss) for the year	(176,823,409)	(19,842,107)	(196,665,516)	1,904,945,917	(3,395,932,396)	(1,490,986,479)
Other comprehensive income (loss)	107,338	(169,709)	(62,371)	(8,535,494)	629,489	(7,906,005)
Total comprehensive income (loss) for the year	₩ (176,716,071)	₩ (20,011,816)	₩ (196,727,887)	₩ 1,896,410,423	₩ (3,395,302,907)	₩ (1,498,892,484)

Samsung Biologics Co., Ltd. and Subsidiary
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(iii) For the years ended December 31, 2014 and 2013

(in thousands of Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 105,148,784	₩ (76,130,543)	₩ 29,018,241	₩ 17,120,845	₩(17,077,340)	₩ 43,505
Cost of revenue	(124,868,406)	41,530,645	(83,337,761)	(54,438,932)	54,399,778	(39,154)
Gross profit (loss)	(19,719,622)	(34,599,898)	(54,319,520)	(37,318,087)	37,322,438	4,351
Operating profit (loss)	(119,541,186)	38,655,238	(80,885,948)	(154,092,746)	89,212,838	(64,879,908)
Equity loss on investments in associates and joint ventures	(32,679,484)	(35,067,057)	(67,746,541)	-	(73,031,096)	(73,031,096)
Net profit (loss) before Income tax	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Income tax expenses	-	-	-	-	-	-
Net profit (loss) for the year	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Other comprehensive income (loss)	11,295,735	149,517	11,445,252	(1,424,072)	34,915	(1,389,157)
Total comprehensive income (loss) for the year	₩ (88,392,667)	₩ 4,123,758	₩ (84,268,909)	₩ (149,897,828)	₩ 13,059,023	₩(136,838,805)

(iv) For the year ended December 31, 2012

(in thousands of Korean won)

	2012		
	Before restatement	Adjustment	After restatement
Revenue	₩ -	₩ -	₩ -
Cost of revenue	-	-	-
Gross profit	-	-	-
Operating profit (loss)	(91,357,686)	51,645,812	(39,711,874)
Equity loss on investments in associates and joint ventures	-	(40,016,257)	(40,016,257)
Net profit (loss) before Income tax	(80,241,939)	7,341,692	(72,900,247)
Income tax expenses	2,066,460	-	2,066,460
Net profit (loss) for the year	(82,308,399)	7,341,692	(74,966,707)
Other comprehensive loss	(1,038,989)	(50,393)	(1,089,382)
Total comprehensive income (loss) for the year	₩ (83,347,388)	₩ 7,291,299	₩ (76,056,089)

Samsung Biologics Co., Ltd. and Subsidiary
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36. In December 2020, Biogen Therapeutics Inc. (“Biogen”) has requested for arbitration in the Court of International Chamber of Commerce against the Company regarding interpretation of certain provision in joint venture agreement by and between Biogen and the Company. It is difficult to predict the result of the arbitration but Biogen has not claimed any damages against the Company.